Before the
New York State Public Service Commission

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-E-0072
Case 22-G-0073

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Prepared Direct Testimony of:

New York City Policy Panel

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INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION AND BUSINESS ADDRESS.

A. Ms. Schmid – My name is Kathleen Schmid. I am the Deputy Executive Director of the New York City Mayor's Office of Climate and Environmental Justice, or MOCEJ. My business address is 253 Broadway, 14th floor, New York, New York.

Ms. Lane – My name is Kathryn Lane. I am a Senior Environmental Epidemiologist with the New York City Department of Health and Mental Hygiene, or DOHMH. My business address is 125 Worth Street, 3rd Floor, New York, New York.

Mr. Tung – My name is Gordon Tung. I am Vice President of Construction Management at the New York City School Construction Authority, or SCA. My business address is 68-09 Maurice Avenue, Flushing, New York.

Mr. Smith – My name is Bejamin Smith. I am the Director of Low and Zero Emission Vehicle Programs for the New York City Department of Transportation, or DOT. My business address is 55 Water Street, 6th Floor, New York, New York.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York, or City.

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND.

A. Ms. Schmid – I received a Bachelor's Degree in Political Science from Columbia

College in 2001 and a Juris Doctorate degree from New York University School of Law in 2007.

Ms. Lane – I received a Bachelor's Degree in History from the University of Virginia in 2000, a Master's Degree in History from the University of Cape Town in 2006, and a Master's Degree in Public Health with a concentration in Epidemiology from Columbia University in 2011.

Mr. Tung – I received a Bachelor of Engineering degree from the State University of New York at Stony Brook in 1990, and a Master of Business Administration degree from Baruch College in 1995. I am a Professional Engineer licensed by the State of New York.

Mr. Smith – I received a Bachelor's Degree in History from Haverford College in 2001, and a Master's Degree in Public Administration from Baruch College in 2010.

Q. PLEASE DESCRIBE YOUR PROFESSIONAL EXPERIENCE AND CURRENT RESPONSIBILITIES.

A. Ms. Schmid – I lead the policy development and implementation of the City's clean energy, decarbonization, capital planning, and climate investment priorities. I also manage MOCEJ's legal and budget responsibilities, including participation in proceedings before the New York Public Service Commission, or Commission, the Federal Energy Regulatory Commission, the New York Independent System Operator, Inc., or NYISO, and in energy-related matters involving the New York

State Energy Research and Development Authority, other State agencies, authorities, and entities. Before joining MOCEJ, I served as Senior Director for Strategic Planning in the Division of Energy Management at the New York City Department of Citywide Administrative Services, where I led policy, strategic communications, and compliance supporting the City's work to decarbonize its assets and operations and catalyze the development of clean energy infrastructure serving New York City. Prior to my tenure at DCAS, I served as Deputy Director for Program Coordination and Delivery at the former Mayor's Office of Climate Resiliency, and as senior counsel in the Environmental Division of the New York City Law Department, where I represented and advised City agencies in environmental and climate litigation and special projects. I also teach a course in municipal environmental law at Fordham Law School.

Ms. Lane – I have been in my current position since 2017 and have worked as an environmental epidemiologist at the DOHMH since 2011. I am responsible for managing a portfolio of environmental health surveillance that includes hot and cold weather, developing and conducting epidemiologic studies related to extreme weather events and climate change, analyzing data related to extreme weather events such as heat waves and other environmental hazards, and characterization of at-risk populations and the burden of health impacts. I also completed the Council of State & Territorial Epidemiologists Applied Epidemiology Fellowship program in 2011-2012.

Mr. Tung - I have over 34 years of experience in design and managing large scale construction projects. I am responsible for all projects in construction for the SCA. Many of our projects include the installation of new electrical service equipment for our school buildings.

I have been in my current position since 2017. I oversee a team of over 450 project management professionals managing over 700 active construction projects. We issue over $3 billion of new construction contracts each year. These projects include new school construction, electrification, electrical service upgrade to support mechanical system upgrade, and capital improvement renovations of over 1600 school buildings in the five boroughs of New York City. At any given time, I am managing over $4 billion of construction work for SCA

I started my career at the Metropolitan Transportation Authority, or MTA, as an electrical engineer designing the power upgrade of all subway stations to provide power for the then-new Metro Card operation. As part of that work, I coordinated with Con Edison to bring new electrical service to every station in the subway system. My responsibility expanded from designing the system to managing the construction contracts for installation of new electrical service equipment in subway stations and tunnels.

After 10 years at the MTA, I was hired by SCA as a project officer to manage construction projects within the New York City Public School System. I managed a portfolio of school renovation projects. In the course of my work, I

coordinated with Con Edison regarding its provision of electric service to the schools.

Over time, I received a series of promotions and was given increasing levels of responsibility over school construction projects. Throughout my career at SCA, I have continually worked with Con Edison on electrical service projects. Presently, under SCA's electrification program, we have on average over 15 projects in design and similar number in construction. Each of these projects requires a new service from Con Edison and on average 4,000 to 5,000 amp service is needed.

Mr. Smith – My responsibilities include managing DOT's low and zero emission vehicle programs. In that role, I work to encourage the adoption of EVs in New York City. My focus has been on expanding the availability of publicly-accessible charging, including placing charging stations in public rights-of-way. Prior to my current position, I served as a Director of Legislative Affairs for DOT, with responsibility for working with leadership across the agency and externally to shape numerous pieces of legislation and prepare for hearings and written testimony. Prior to my employment at DOT, I was the Director of Policy and Budget for Brad Lander when he served as a member of the New York City Council. Previous to that position, I worked for over a decade at the Center for Court Innovation, setting up, operating, and evaluating numerous innovative community justice programs across New York City.

Q. HAVE YOU EVER TESTIFIED BEFORE ANY AGENCY OR COURT OR IN ANY OTHER VENUE ON THE TOPICS YOU ADDRESS IN THIS TESTIMONY?

A. Ms. Schmid – No.

Ms. Lane – Yes. I have testified on energy insecurity and health-related impacts from energy before this Commission in the last Con Edison rate proceeding: Cases 22-E-00 64 and 22-G-0065.

Mr. Tung – No.

Mr. Smith – No.

PURPOSE OF TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of this testimony is to discuss the three pillars of the City's energy policies, and how they correlate to State energy policies, to inform the City's recommendations to the Commission in these rate cases. Guided by the imperative that energy rates remain affordable, power supply remain reliable and resilient to extreme weather, and the City and State continue to modernize our infrastructure to reduce greenhouse gas, or GHG emissions and prepare for load growth, it is essential that the Commission balance the interests of Consolidated Edison Company of New York, Inc.'s, or Con Edison's, customers and shareholders as it evaluates Con Edison's rate requests in the context of providing safe and adequate

service at just and reasonable rates and of carrying out the Company's core business responsibilities.

Q. **ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?**

A. Yes. We offer Exhibit __(NYCPP-1), which is a compilation of the discovery responses from Con Edison that we relied upon in preparing our testimony, some of which we expressly reference. Exhibit __(NYCPP-2) is a map showing Disadvantaged Communities as defined by the Climate Leadership and Community Protection Act, or CLCPA, and as determined by the Climate Justice Working Group, and electric distribution networks with high incidences of customer outages or low network reliability. Exhibit __(NYCPP-3) is a side by side comparison of the map showing Disadvantaged Communities and electric distribution networks with high incidences of customer outages or low network reliability from 2017-2021 as compared to 2022-2024. Exhibit __(NYCPP-4) is a map showing Disadvantaged Communities and zip codes with high incidences of utility service disconnections.

Q. PLEASE SUMMARIZE YOUR TESTIMONY.

A. Our primary objective is keeping electric and gas rates affordable, especially for low income and vulnerable residents. Energy affordability is essential to protecting New Yorkers' health and welfare and is an objective we believe we share with the State. Additionally, the City and State must ensure that that low-income communities and areas underserved by our energy infrastructure equitably benefit

in the transition to a clean energy future through targeted investments and programs.

To this end, the City first urges the Commission to reconsider and reduce the nature and extent of the incentives it authorizes for Con Edison's shareholders. While the City recognizes that incentives may be appropriate to induce exceptional performance, there is nothing to be gained by rewarding shareholders for actions taken by customers with no Company involvement – especially as customer bills continue to rise. Indeed, State law and policy have advanced substantially over the past few years such that the marketplace is transforming and people are more cognizant of the need to reduce greenhouse gas emissions and move away from fossil fuels. Outcome-based shareholder incentives, which reward shareholders for meeting targets that are achieved as a result of broad market responses through no action by the Company serve only to exacerbate energy cost burdens and unnecessarily increase customer bills in an already stressed energy affordability situation.

The City also recommends that the Commission look critically at the magnitude and prioritization of the Company's proposed capital investments, its expenditures on operations and maintenance activities, and its requests to significantly expand its workforce. The City requests that the Commission strengthen performance metrics for expediting interconnection requests related to electrification. The City also proposes that the Commission require Con Edison to

perform a property divestment assessment to identify property that is not needed for utility purposes and can be sold to produce revenue offsets to the rate increases and allow for publicly beneficial uses like housing.

Also under the banner of affordability, the City requests that the Commission consider how the rates proposed by Con Edison will exacerbate the affordability crisis that residents in New York City are experiencing, and the impact of the proposed substantial rate increases on energy cost burdens for hundreds of thousands of New Yorkers, as well as the direct relationship between energy insecurity and health. To partially address these concerns, we offer recommendations regarding the cost impacts of bill arrearage solutions, service terminations during certain cold weather events, and the Company's proposal for identifying Energy Affordability Program, or EAP, participants.

Q. WHAT OTHER THEMES ARE ADDRESSED IN YOUR TESTIMONY?

A. A second primary theme is reliability. The City has also long emphasized the need for reliable utility service as essential for keeping New Yorkers safe. As the owner and operator of infrastructure that is essential to providing services to New Yorkers, the City understands that reliable power at all times is essential to New York City residents and businesses. The City has reviewed the Company's proposed capital investments and offers the Commission recommendations for reducing the level of capital spending while ensuring that Con Edison can continue to provide safe and adequate service.

Our third primary theme pertains to modernization, energy efficiency, and electrification. Within the guardrails of keeping our system affordable and reliable, the City has spearheaded ambitious, transformative laws and programs to significantly reduce greenhouse gas emissions through a multi-faceted approach that includes increasing reliance on renewable resources by supporting large scale renewable generation projects, the transmission infrastructure necessary to bring that energy to the City, and scaling in-City solar, thermal, and storage systems. The City has prioritized expanding energy efficiency and electrification programs and investing in buildings to make them more modern, efficient, and comfortable while reducing the energy bills of the people who live and work there. Finally, the City has led on transportation electrification, with commitments to electrify our own fleet by 2035, and emergency trucks by 2040, and through the Green Rides Initiative that requires rideshare vehicles to be either zero-emissions or wheelchair accessible by 2030. Con Edison's electric system must support a growing city as we transition away from fossil fuels, on a timeline that is reasonable and paced to align with an uncertain economic forecast and delays in large-scale renewable resource projects. Therefore, we make recommendations on how these rate cases can advance infrastructure modernization and facilitate the transition away from fossil fuels without sacrificing affordability and reliability.

As part of this effort, ambitious energy efficiency, demand response, and electrification efforts are needed. These measures will help meet the City's and

State's clean energy transition goals; the former measures are critical as they should moderate the need for additional infrastructure to support electrification. All three sets of measures also should reduce the need for gas capital expenditures and facilitate the transition away from fossil fuels. Electrification should prioritize transitioning buildings served by fuel oil and older, less efficient natural gas-fired heating systems, as well as low- and moderate-income multifamily housing. While additional work is needed to increase the network of electric vehicle, or EV, charging for all types of vehicles, emphasis should be placed on electrification of medium- and heavy-duty vehicles, including public and private fleets and buses, that traverse New York City and its streets daily.

These three priorities have been pillars of the City's energy policy for almost 20 years, since the release of the first PlaNYC in 2007. However, the City is also facing a unique, and uncertain, moment, as the costs of living are rising, the Federal government is cutting, and at times eliminating, social service programs, and our economy shows signs of entering into a recession. In the face of this affordability crisis, the City is very concerned about energy affordability and the overall magnitude of the requested rate increases and the impacts of those increases on customers.

The Commission must carefully scrutinize the Company's requests, eliminate unnecessary spending, and reduce the balance of the Company's requests to a reasonable level to ensure that the rates it adopts are just and reasonable and

fairly balance the interests of customers and shareholders. In doing so, the Commission should consider the significant economic uncertainties that now exist due to inflation, other increases in living expenses, and changing Federal policies and other actions by the Federal government.

Q. EXPANDING ON THE THEMES YOU JUST IDENTIFIED, PLEASE PROVIDE A BRIEF DESCRIPTION OF THE CITY'S ENERGY POLICIES.

A. The City's energy policies include preserving energy affordability, reducing greenhouse gas emissions and decarbonizing utility services, promoting fairness and equity, reducing burdens on Disadvantaged Communities, encouraging economic development, enhancing public health, bolstering the reliability and resilience of critical infrastructure, fostering sustainability initiatives, and taking other steps to improve people's quality of life.

Beginning with affordability, the City is committed to identifying pathways to reduce customers' energy cost burdens, which we define as the sum of electric, gas and/or fuel oil expenditures relative to pre-tax income. The City applauds the efforts taken by the Commission to address energy cost burdens on many New York City households, but more work is needed. The increases sought by Con Edison in these rate cases will exacerbate existing energy cost burdens and likely cause more households to become energy cost burdened. In setting new electric and gas rates, the Commission should consider energy cost burdens and avoid setting new rates

at levels that would unduly burden customers, especially low-income customers. Additionally, the Commission should consider that customers' bill impacts and energy cost burdens are affected by more than the delivery rates to be set in these proceedings. The estimated bill impacts provided by Con Edison are limited to base delivery rate increases and do not include the tens of millions of dollars requested for shareholder incentives, myriad expense reconciliations that could add tens of millions of dollars or more to customer bills, and the recoveries of capital costs and expenses for projects approved outside of the rate cases.

Concurrent but outside of the rate cases, the Commission recently approved annual funding of $299.6 million for Con Edison's electric energy efficiency and building electrification portfolio and $127.9 million for Con Edison's gas energy efficiency and building electrification portfolio in Case 18-M-0084 through 2030. Separately, Con Edison is seeking to recover over a quarter of a billion dollars for its thermal energy network pilot projects in Case 22-M-0429. The New York State Energy Research and Development Authority, or NYSERDA, administers several programs under the Clean Energy Standard which add hundreds of millions of dollars of surcharges to customers' bills, which amounts are likely to increase over time. NYSERDA is also about to commence processes to facilitate the deployment of thousands of megawatts of energy storage by 2030. In a June 2024 Order in Case 18-E-0130, the Commission projected the cost to customers related to those processes at between $2 billion and $3.6 billion. Clean Energy Fund surcharges

under Case 14-M-0094 will add $310 million to customer bills in 2026, and $185 million in 2027. There is no readily available summary of the socialized costs for Public Policy Transmission Need projects and statewide transmission and distribution investments approved in Case 21-E-0197, but the approved projects total well more than $5 billion, and the costs are collected through a combination of delivery surcharges and adders to the wholesale commodity costs. Payments to developers of distributed energy resources are recovered through surcharges as well. Finally, customers' total bill impacts will be affected by the cost of the commodities of electricity and natural gas, both of which are increasing.

The City recognizes that investments in utility infrastructure are needed to maintain safe and adequate service, facilitate electrification, and support the transition to a growing clean energy economy. The City also recognizes that under our current construct for the wholesale electricity markets, financial support for renewable resources is needed to induce their development. Further, many customers, especially members of Disadvantaged Communities, low- and moderate-income customers, and tenants do not have the ability to unilaterally make energy efficiency investments either because of the cost or because they do not own their homes and cannot make capital investments in them. But, most energy efficiency investments are cost-effective, and all energy efficiency investments permanently reduce the demand for and use of electricity. While energy efficiency programs are generally considered to be just and reasonable,

some restraint is needed to prevent the cost of such programs from having burdensome impacts on customer bills.

This testimony should not be interpreted as being critical of these programs. Rather, the Commission needs to consider all factors and all contributors to customers' electric and gas bills, all of which place upward pressure on utility costs. In setting just and reasonable rates, the Commission should look at the totality of costs customers will be required to bear.

Q. PLEASE DISCUSS RESILIENCE AND RELIABILITY CONSIDERATIONS.

A. Given the dense vertical urban environment in New York City, with an increasing number of high-rise developments, electricity has become a critical safety need as well as a basic human need. It is well-established that the continuous provision of electricity is critical to preserving public health and safety. New York City has one of the most reliable electric systems in the world, and that reliability should not be diminished.

Our changing climate has placed growing emphasis on the need for highly resilient utility systems. Severe storms, previously considered very infrequent occurrences, are now occurring every few years. The severity of storms is increasing, and climate science indicates that future extreme weather will worsen. As sea levels rise, flooding and coastal storms will become stronger, damage will extend deeper into New York City, and greater numbers of residents will be

impacted. Future heat waves will occur more frequently, last a week or more, and occur during what, in the past, were considered shoulder seasons. Climate change projections also indicate that future climatic events will include compound impacts, such as high heat combined with high humidity, which increase grid stress while simultaneously exacerbating related health impacts. Con Edison has made good progress in making its utility systems more resilient to severe storms and other climatic conditions. However, as demonstrated by some of its proposed projects in these rate cases, more work is needed.

In maintaining system reliability and increasing system resilience, Con Edison must give due consideration to all parts of its service territory, particularly to customers in Disadvantaged Communities who are expected to be at greater risk of climate disruptions.

Q. PLEASE CONTINUE WITH YOUR DISCUSSION OF RESILIENCE AND RELIABILITY CONSIDERATIONS.

A. Residents in Disadvantaged Communities suffer from higher rates of respiratory, cardiovascular, and diabetes-related disease in part from air pollution largely emitted from the combustion of fossil fuels. Impacts from climate change such as more frequent extreme temperature days, extended high ground-level ozone periods, and increased precipitation exacerbate these conditions and result in higher incidences of emergency room visits, morbidity, and mortality. Without reliable electric service to temper the effects of extreme temperatures and humidity, poor

public health outcomes are magnified. For people who rely on electric medical equipment, power outages can be life threatening. Power outages also can cause problems like loss of food and medicine and disruptions of elevator service, transportation, and communications, which can be devastating for vulnerable populations.

Q, WHAT ACTIONS HAS THE CITY TAKEN TO ADVANCE ITS ENERGY POLICY GOALS?

A. The City has enacted several trailblazing local laws to drive the energy transition and achieve its policy goals. These laws will also help the State achieve its energy policy goals, as primarily set forth in the Climate Leadership and Community Protection Act, or CLCPA.

Q. PLEASE DESCRIBE THESE LAWS.

A. Local Law 154, enacted in 2021, mandates that new buildings (with certain exceptions) be built to operate without fossil fuel systems. The new requirements began on January 1, 2024, for new buildings under seven stories and one- and two-family homes. As of December 31, 2024, the law applies to SCA projects, and as of December 31, 2025, it will apply to affordable housing less than seven stories. The law will phase in fully and require all new buildings to be electric by December 31, 2027, before Rate Year 3 begins.

Local Law 97 of 2019 requires a reduction in emissions from certain buildings starting in 2024, with interim targets that reach carbon neutrality by 2050.

To demonstrate compliance, the building owners must file annual buildings emissions reports by May 1 following the compliance year, with a grace period and an extension also available. Covered buildings include, with limited exceptions which we will describe, buildings that exceed 25,000 gross square feet, two or more buildings on the same tax lot that together exceed 50,000 gross square feet, and two or more buildings owned as condominiums that are governed by the same board of managers and that together exceed 50,000 gross square feet. Building owners will face penalties of $268 for each ton of carbon dioxide equivalent that they emit above their building emissions limit. Meeting the emissions targets of Local Law 97 will require significant attention to decarbonization of buildings over time, ultimately resulting in electrification of buildings.

Buildings that include certain affordable and rent-regulated housing must implement prescriptive energy conservation measures or achieve 2030 emissions limits as if they were a 320 building in 2024. Further, certain income-restrictive housing has a delayed compliance pathway of 2026 or 2035 to meet emissions limits.

Finally, Local Law 97 directs the City's government operations to reduce their GHG emissions further and faster than the private sector, requiring the City to achieve a 50 percent reduction by 2030, with an interim 40 percent target by 2025. Separately, the law requires the New York City Housing Authority to take a portfolio wide approach to reduce its greenhouse gas emissions by 40 percent by

2030 and 80 percent by 2050, relative to such emissions for calendar year 2005.

Q. WHAT OTHER LOCAL LAWS HAVE BEEN ENACTED?

A. The City enacted Local Laws 84 of 2009 and 133 of 2016 to implement energy benchmarking and provide information to building owners and tenants on the energy usage and energy efficiency of their buildings. Local Law 84 requires the owners of buildings that are larger than 25,000 square feet or owners of two or more buildings in a single lot that are larger than 100,000 square feet to report their energy and water consumption to the City via the Environmental Protection Agency's ENERGY STAR Portfolio Manager website, or Portfolio Manager, each year. This data is then published on the City's website for public access to provide transparency on building energy performance. Local Law 133 expanded Local Law 84 to cover buildings between 25,000 and 50,000 square feet. Complementing these local laws is Local Law 33 of 2018, commonly known as the Building Energy Grades Law. Local Law 33 requires owners of buildings over 25,000 square feet to post energy efficiency grades at each public entrance to their buildings.

Collectively, these three local laws plus Local Laws 97 and 154 are foundational to the City's actions to improve energy efficiency and reduce greenhouse gas emissions in buildings, and are already driving investments in the City's built environment that will reduce emissions and improve conditions for the people who live and work in the buildings. These laws go beyond targets and

analysis; they require actions that ultimately contribute to the achievement of City and State emissions reduction goals.

CONSIDERATION OF THE IMPACTS OF CON EDISON'S PROPOSALS AND REVENUE INCREASE REQUESTS IN THE CONTEXT OF APPLICABLE LAW AND POLICY

Q. WHY ARE CITY LAWS RELEVANT TO THE COMMISSION'S CONSIDERATION OF CON EDISON'S PROPOSED RATES

A. The CLCPA, one of the country's most ambitious climate laws, tasks state agencies with implementing programs, adopting policies, and using their regulatory discretion to reduce economy-wide GHG emissions 40 percent by 2030 and no less than 85 percent by 2050 from 1990 levels. This mandate extends to the Commission, and the City has been appreciative of the Commission's leadership in advancing responsible yet actionable orders to support the decarbonization and modernization of our energy infrastructure while protecting the best interests of utility customers.

Successful implementation of Local Laws 97 and 154 is a necessary condition to the State's ability to meet its CLCPA commitments. Within New York State, New York City has by far the dirtiest grid, the most embedded gas infrastructure, and our density presents one of the State's greatest challenges to decarbonization. Indeed, the City's commitments and mandates often are models for the State. For example, the State's all-electric new building law followed Local Law 154, and this year the State is proposing GHG emission reporting requirements

akin to those the City legislated in Local Laws 84 and 133.

Responsible Commission decisions that, within the aegis of affordability and reliability, drive energy efficiency and electrification, ensure the electric system is ready to meet our future needs, and require the rollback of our natural gas infrastructure do more than support the City's policies. They are part and parcel of the Commission's mission to modernize the electric system, improve service to customers, and advance CLCPA mandates.

Q. PLEASE DISCUSS THE NEED FOR CONSIDERATION OF CON EDISON'S RATE FILING'S IMPACTS ON DISADVANTAGED COMMUNITIES.

A. We submit that there is a need as a matter of law to specifically consider the impacts of the Company's very substantial rate increases, bill impacts, and other proposals on Disadvantaged Communities and low-income New Yorkers. In Section 1(7) of the CLCPA, the State Legislature declared that "[c]limate change especially heightens the vulnerability of disadvantaged communities, which bear environmental and socioeconomic burdens as well as legacies of racial and ethnic discrimination. Actions undertaken by New York state to mitigate greenhouse gas emissions should prioritize the safety and health of disadvantaged communities, control potential regressive impacts of future climate change mitigation and adaptation policies on these communities, and prioritize the allocation of public investments in these areas." The CLCPA imposes a series of requirements on State

agencies, including the Commission, related to the evaluation of burdens on Disadvantaged Communities and provision of a dedicated share of program benefits to such communities.

Q. HAS THE CITY CONDUCTED ANY ANALYSIS OF THE NEED FOR INVESTMENT IN DISADVANTAGED COMMUNITIES?

A. Yes. Based on the Company's responses to City Information Requests 98 and 99, the City has mapped networks with high incidences of outages and low network reliability overlayed on top of Disadvantaged Community census tracts as identified by the Climate Justice Working Group's Disadvantaged Community criteria. As shown in the maps included in Exhibit __(NYCPP-2), there appears to be significant overlap in some areas. That is, Disadvantaged Communities appear be experiencing more system reliability problems than other communities in some areas within the Company's service territory.

Q. WHAT CONCLUSIONS DO YOU DRAW FROM THIS ANALYSIS?

A. The mapping exercise highlights the ongoing need for the Company to pay greater attention to service quality in Disadvantaged Communities. To be clear, we recognize that Con Edison makes investments throughout New York City, and we believe the Company seeks to provide generally similar levels of service to all segments of its customer base. However, given the disproportionate impacts suffered by residents of Disadvantaged Communities, the Company should pay more attention to service quality issues in these communities and the networks

which serve them. That is, the Company should place emphasis on improving service quality in these areas. For example, within its prioritization process, there should be some adjustment made for areas with higher incidences of poor service.

As part of the Environmental Justice NYC Plan being developed by MOCEJ, and climate budgeting work being undertaken by the City's Office of Management and Budget, the City is assessing similar issues and seeking to ensure equitable treatment of New Yorkers within the City's capital and expense budget. The City would welcome the opportunity to collaborate with Con Edison to better identify the composition of customers within its networks and facilitate the Company's ability to place emphasis on improving service in Disadvantaged Communities.

Q. DOES CON EDISON TRACK INVESTMENTS THAT OCCUR IN DISADVANTAGED COMMUNITIES?

A. Yes. As a result of the settlement agreement approved by the Commission in Cases 22-E-0064 and 22-G-0065, Con Edison is required to file an annual report outlining the investment measures it has taken in Disadvantaged Communities.

Q. WHAT DID THE COMPANY'S MOST RECENT DISADVANTAGED COMMUNITIES REPORT SHOW?

A. The Company's May 31, 2024 report provided data for the year 2023. At a macro level, the Company is not yet at equilibrium with respect to its investments mirroring the percentage of networks comprised of Disadvantaged Communities.

For example, in Table E1: Strategic Electric Capital Investments in the report, the Company estimates that approximately 40 percent of its 2023 total investment in its electric system was in Disadvantaged Communities. The report also illustrates other program spending, such as energy efficiency, clean heat and EV charging infrastructure, that was made in Disadvantaged Communities.

Q. WHAT ARE YOUR OBSERVATIONS?

A. The Panel supports the continuation of the annual tracking and reporting of investments in Disadvantaged Communities established in the last rate case proceeding. This is a positive step in monitoring where the Company's capital investment and program funding dollars are going and whether customers located in Disadvantaged Communities have a fair opportunity for accessing and receiving the benefit of such funds. Referring to Exhibit __(NYCPP-3), which compares the Disadvantaged Community outage mapping reports created by the City in 2022 to the reports created by the City in 2025, it is apparent simply by looking at the maps that some improvement has occurred with respect to the number of outages occurring in Disadvantaged Communities. For example, parts of Manhattan have seen notable improvement since 2022.

While this is a positive trend since our 2022 analysis, more must be done, and we urge the Commission to require Con Edison to continue tracking its investments and data related to Disadvantaged Communities. For example, energy storage systems can serve valuable roles in preserving system reliability and

lowering electricity costs during peak conditions. Energy storage systems can provide needed power and support local voltage levels, thereby preventing brownouts and blackouts. By reducing the need for very expensive peaking units, they can moderate electricity costs. As energy storage systems are deployed in New York City, Con Edison should evaluate the benefits they are providing to households and businesses. If the results are as we expect, there should be emphasis placed on locating energy storage systems where they can help reduce outages and other service problems.

We have one other observation regarding the Report. Looking at dollars of investment is not sufficient. Equally important is a review of how the dollars were spent and whether the investments helped to lessen pollution or economic burdens on Disadvantaged Communities. For example, if investments were made in equipment that produces GHG emissions and exacerbates poor local air quality, such investments could not be viewed as being beneficial to Disadvantaged Communities. For some categories of expenditures set forth in the report, the benefits are easily discernible. For others, discussion of the benefits inuring to the Disadvantaged Communities in which the investments are made should be provided.

Q. HAVE YOU PREPARED ANY OTHER MAPS?

A. Yes. Based on the Company's responses to City Information Request 97, the City has mapped networks with high incidences of residential service terminations

overlayed on top of Disadvantaged Community census tracts as identified by the Climate Justice Working Group's Disadvantaged Community criteria. As shown in the maps included in Exhibit __(NYCPP-4), there appears to be significant overlap. That is, customers in Disadvantaged Communities appear to be experiencing more service terminations than customers in other areas of the Company's service territory. According to the same response, reconnections ranged from zero to four days after service was terminated. While we do not know if customers in Disadvantaged Communities experience disproportionately longer disconnection durations, overall disconnection events are not always short and may adversely impact affected customers.

Q. WHAT CONCLUSIONS DO YOU DRAW FROM THIS ANALYSIS?

A. The mapping exercise reveals that some neighborhoods are impacted by Con Edison service terminations to a greater extent than others, indicating that the Company needs to provide more attention to those neighborhoods with respect to its outreach and education efforts, and to providing assistance to such customers. That assistance includes enrolling customers who are eligible in the EAP and offering and explaining the benefits of deferred payment agreements. That many of these same neighborhoods are part of Disadvantaged Communities underscores the need for the Company to pay greater attention to outreach in such areas, including translation of Company materials into many languages. Energy insecurity and affordability measures are discussed further later in our testimony.

Q. PLEASE EXPLAIN WHAT YOU MEAN BY TRANSLATING COMPANY MATERIALS INTO OTHER LANGUAGES.

A. In the 2022 rate cases, Con Edison agreed to provide information to customers in multiple languages. In response to City Information Request 7, the Company explained that it only provides certain materials in multiple languages. The Company should be providing all of its customer-directed materials in the most common languages spoken and used in New York City. Providing assistance to customers is meaningful and helpful only if the customers can understand the information and assistance being provided.

Q. DOES THE PANEL HAVE ANY COMMENTS ABOUT CON EDISON'S DECARBONIZATION PROPOSALS?

A. We believe that the need to decarbonize is well-known and needs no extensive discussion. Decarbonization is at the core of the CLCPA, the State's energy policies, the Commission's agenda, and the City's building performance standards, codes, and energy policies. These rate cases present an opportunity to advance decarbonization efforts. However, the Commission must proceed with due care to ensure that the actions it approves are tailored to achieve the maximum decarbonization benefits and are targeted to the communities that most need them. Con Edison must demonstrate investments being made to decarbonize the grid are cost-effective and result in meaningful reductions in the use of fuel oil and the retirement of old, inefficient gas heating systems.

Q. WHAT SHOULD CON EDISON BE DOING WITH RESPECT TO ITS GAS BUSINESS?

A. Achieving the City's and State's policy goals, reducing the reliance on fossil fuels, and providing technical assistance and incentives for customers to be more energy efficient will require a coordinated effort among many government agencies, utilities, environmental and community groups, and others. Con Edison has an important role in this effort. The Company talks about the transformation of its business, and its proposals for its electric business indicate consideration of and planning for future needs, such as load growth due to electrification. However, for the gas business, the approach seems to be mostly business-as-usual.

Q. ISN'T IT TRUE THAT THE COMPANY HAS PROPOSED A SERIES OF MEASURES TO BEGIN TO TRANSITION AWAY FROM A TRADITIONAL GAS UTILITY STRUCTURE?

A. Yes, the Company has proposed some tariff changes and other actions, but these are relatively minors steps. For example, simply asking a customer whether an alternative to gas was considered before allowing the customer to sign up for gas service is unlikely to have any material effect. At the same time, the Company is proposing a very robust capital program for its gas system that appears to be of a similar scale to previous capital plans. When we view the totality of the Company's proposals, the strategy seems to us to be generally a business-as-usual approach.

Q. WHAT ACTIONS SHOULD CON EDISON BE TAKING?

A. The Company needs to put more effort into realizing a future that likely has a much smaller gas footprint, and it needs to look more closely at system needs in order to reduce its capital spending over time to cease the expansion and increase the reduction of its gas distribution system.

Q. WHAT ELSE SHOULD CON EDISON DO, OR NOT DO, RELATED TO ITS GAS BUSINESS?

A. State and City policy requires a systemic transition away from fossil fuel-based infrastructure and technology. While rebuilding an aging gas system will reduce leakage and fugitive emissions, it also risks extending our reliance on carbon-intensive infrastructure and creating stranded assets. In our view, the Company's leak-prone pipe strategy is not consistent with the State and City's policy vision and the imperative to address climate change as quickly as possible. Instead, much greater emphasis should be placed on the retirement of gas mains and conversion of customers to heating and hot water systems that do not rely on fossil fuels. This is discussed in more detail in the testimony filed by City witness John Sano. We also encourage the Company to more aggressively implement non-pipeline alternatives, or NPAs, in lieu of traditional utility infrastructure investments, whenever feasible. The Company should also make public and follow transparent guidance regarding replacement of leak-prone gas mains.

The Company has made reasonable efforts to explore gas energy efficiency initiatives, and it should continue to explore other potential initiatives. We

recognize that there have been challenges in identifying cost-effective programs that can provide meaningful savings. Nevertheless, with evolving technologies, new opportunities may exist. Gas demand response programs also hold promise in helping to reduce peak demand.

Q. HOW IS CON EDISON WELL-POSITIONED WHEN IT COME TO NPAS?

A. Because Con Edison also has an electric business in the same service territory, it is well-positioned to transition customers off natural gas in a strategic way. That is, the Company can coordinate the build out of its electric system with efforts to transition gas customers off the gas system, thereby ensuring that they will have immediately available options when they make the transition.

CON EDISON'S ROLE IN THE CITY'S IMPLEMENTATION OF CITY AND STATE LAWS

Q. EARLIER, THE PANEL LISTED SEVERAL LOCAL LAWS ENACTED BY THE CITY TO FACILITATE IMPLEMENTATION OF ITS ENERGY POLICIES. TURNING TO THOSE LAWS, WHAT IS THE STATUS OF BUILDING OWNERS' COMPLIANCE WITH LOCAL LAW 97?

A. The New York City Department of Buildings, or DOB, has forecast that 91 percent of covered buildings will be in compliance with the emissions limits for the 2024 reporting year, and the 2024 emissions limits remain the same for each year of the 2024 to 2029 reporting period. However, because the emissions limits become more restrictive over time to enable the City to reach carbon neutrality by 2050,

more buildings are forecast to be out of compliance with the 2030 limits. To come into compliance, these buildings will need to make significant energy efficiency investments, facade and electric system upgrades, and for many buildings, to begin to electrify building systems currently operated on fossil fuels. Such work has already started and is expected to continue through the end of 2029.

Q. WHAT DO YOU RECOMMEND?

A. First, Con Edison's rate plan must be tailored to incentivize and enable owners of covered buildings to undertake this work. Second, the budget for new customer connections to the gas system should be eliminated. Doing so will force Con Edison to take robust actions to minimize new customer additions and pursue alternatives to adding new customers to reduce the need for gas infrastructure and investments. This approach will drive compliance with Local Laws 97 and 154, bringing benefits to Con Edison's customers. As discussed in the testimony of City witness John Sano, to the extent that Con Edison is required by law to connect new customers during the term of its next rate plan, return on those investments can be recovered in a future case.

Q. THE PANEL ALSO DISCUSSED LOCAL LAWS RELATED TO BENCHMARKING. PLEASE EXPLAIN THE NEED FOR ACCESS TO WHOLE-BUILDING ENERGY USAGE DATA.

A. Reliable access to accurate, whole-building level energy usage data is an important component of achieving the State's emissions reduction goals set forth in the

CLCPA. Building energy usage data can help the City, Con Edison, the New York State Energy Research and Development Authority, or NYSERDA, building owners, contractors, and others strategically shape policy and target emissions reduction opportunities. This data also allows building owners and policymakers to gauge progress toward goals. In New York City, access to this data is critical to implementing the City's Energy Benchmarking Laws, Local Laws 84 of 2009 and 133 of 2016, the Building Energy Grades Law, Local Law 33 of 2018, and Local Law 97. These local laws are foundational to the City's actions to improve energy efficiency and reduce greenhouse gas emissions in buildings, which will ultimately contribute to achievement of the CLCPA.

Q. HOW ARE THE ENERGY EFFICIENCY SCORES REQUIRED BY LOCAL LAW 33 GENERATED?

A. These grades are determined by the City based on the energy data submitted via Local Law 84 benchmarking reports.

Q. HOW DO BUILDING OWNERS REPORT BUILDING EMISSIONS?

A. Building owners report their energy consumption using Portfolio Manager. They then multiply each fuel type by the appropriate emissions factor to determine the emissions produced by a building. Each report is required to be audited by an independent third-party registered design professional, such as a registered architect or professional engineer.

Q. WHERE DO BUILDING OWNERS OBTAIN THE USAGE DATA THAT THEY UPLOAD TO PORTFOLIO MANAGER?

A. Building owners rely on energy benchmarking data supplied by Con Edison, National Grid for buildings outside of Con Edison's gas service territory, and heating oil vendors to meet Local Law 84 requirements.

Q. HOW DO THE BUILDING OWNERS RECEIVE USAGE DATA FROM CON EDISON?

A. Building owners receive usage data from Con Edison by completing a one-time, multi-step process to configure their Portfolio Manager account to accept Con Edison's electric, natural gas, and district steam data uploads. Owners then request the prior year's usage data using the Con Edison benchmarking portal. Following the request, Con Edison uploads the data to the owners' Portfolio Manager accounts in one to three days. Owners then must submit their reports to the Portfolio Manager platform to comply with Local Law 84. Con Edison portal requests must be repeated annually after March 1.

Q. IS THE CITY AWARE OF ANY ISSUES WITH THE DATA CON EDISON PROVIDES TO CUSTOMERS?

A. Yes. Currently, Con Edison shares energy use data for the New York City benchmarking law at the Borough Block and Lot, or BBL, level; that is, at the tax lot level. Under Rules of the City of New York Section 103-06, multiple buildings on a tax lot are treated as one covered building.

Q. WHY IS THIS A CONCERN?

A. Under Local Law 97, two buildings on a tax lot may not follow the same compliance path, so for this reason and others, data needs to be shared at the Building Identification Number, or BIN level; that is, at the building level rather than at the tax lot level. With only BBL-level data, registered design professionals must estimate the energy use for each building on the tax lot.

Q. HAVE THERE BEEN ANY OTHER ISSUES WITH THE DATA CON EDISON PROVIDES TO CUSTOMERS?

A. Yes. There have been persistent problems with the quality of the data provided, such as incomplete data sets and erroneous usage information. The City's Billing Panel discusses some of these problems, which it refers to as billing anomalies.

Q. HAVE THE ISSUES WITH DATA QUALITY OR LACK OF BIN-LEVEL USAGE DATA HAD ANY IMPACT ON LOCAL LAW 97 TO DATE?

A. Yes. The data quality problems have created uncertainty for building owners and their consultants, and they require significant City personnel resources to address. Essentially, the data quality problems arose largely because Con Edison was not prepared to support customer needs related to Local Law 97 by the first reporting period in 2025.

Q. IS THE CITY AWARE OF ANY OTHER ISSUES WITH THE DATA THAT CON EDISON PROVIDES TO BUILDING OWNERS AND OTHERS?

A. Yes. It is our understanding that there have been significant delays in receiving the

data, and the accuracy of the data is in question because filtering data sent to Portfolio Manager may not properly compare BBL on file to the list of buildings required to comply with Local Law 97, particularly when there are changes such as condominium conversions or lots are split or merged. This is problematic because it requires a manual update in Con Edison's system that may result in delays of accurate data ported to Portfolio Manager.

Q. WHY IS IT IMPORTANT THAT THE USAGE DATA PROVIDED BY CON EDISON BE ACCURATE AND COMPLETE?

A. Missing meter data and delays in access to accurate energy use information undermine building owners' ability to comply with Local Law 97. The energy usage data being collected by the City is in furtherance of three local laws that are intended to drastically reduce greenhouse gas emissions from buildings in New York City and will ultimately help in the achievement of the State's policies. It is critical that the data provided be high quality and complete to give the City an accurate view of the progress that is being made toward these goals. Moreover, there will be significant penalties assessed against building owners which exceed the emissions limits set forth in Local Law 97, reaching into the million-dollar range for the worst offenders.

It is essential that the usage data is accurate so that the emissions levels generated by Portfolio Manager based on the usage data are accurate, compliance

with the Local Law is properly tracked, and, where appropriate, penalties for non-compliance are properly assessed.

Q. HAS THE CITY MADE CON EDISON AWARE OF THESE DATA QUALITY ISSUES?

A. Yes. DOB has met with Con Edison numerous times to attempt to resolve these issues informally. DOB sent an email blast alerting service providers that it will accept estimated data from Con Edison and will work with owners where this data discrepancy results in a penalty. However, as the Local Law 97 limits become more stringent, more buildings will be in a situation where estimated data may result in non-compliance.

Q. HAS THE CITY REQUESTED ANY OTHER DATA FROM CON EDISON THAT WOULD BENEFIT PLANNING, PROGRAM, AND POLICY DEVELOPMENT?

A. Yes. The City, on behalf of the New York City Panel on Climate Change, requested census or zip code level data on daily energy use in New York City. This type of data would benefit its efforts to understand many energy topics, including use of air conditioning and the potential for heat system electrification, to better support the City's policy development, as understanding seasonality and adaptive behavior requires data at a finer temporal resolution than is currently available.

Additionally, the New York City Greenhouse Gas Inventory collects electricity, natural gas, and steam data from Con Edison at a zip code level. In order

to create policy that addresses emissions from buildings under 25,000 square feet, the Inventory team has identified a need for Con Edison to provide whole building energy usage data tied to BIN or BBL numbers. This data, particularly when linked to property location, age, and fuel use types, will enable thoughtful policy development and targeted assistance for small building decarbonization efforts.

Q. IS THE PANEL FAMILIAR WITH CON EDISON'S PROPOSAL TO MODIFY THE EXISTING BENCHMARKING PORTAL?

A. Yes. We have reviewed the Company's testimony regarding the proposed Building and Energy Usage Portal, or BEUP, project, discussed in the IT Panel's testimony and exhibits, as well as responses to Department of Public Service Staff Information Requests 502, 675, and 982.

Q. WHAT IS YOUR UNDERSTANDING OF THE BEUP PROJECT?

A. It is our understanding that the project includes two important changes. First, the BEUP update will provide customers who must comply with Local Law 97 with energy usage data by BBL and BIN. Second, data availability and portal access will be expanded to additional customers, including aggregated building consumption data for small building owners and managers.

Q. DOES THE CITY SUPPORT THE PROPOSAL?

A. Yes, as we understand the Company's proposal, the modifications will provide BIN-level energy usage data and broaden the group of customers who can directly benefit from the portal. However, given the Company's recent performance in

implementing new information systems, and the significant delays and cost overruns experienced, we recommend that the Commission apply strict oversight to ensure that the work proposed by Con Edison to upgrade and maintain the system is being undertaken and completed competently and prudently.

Q. WHY ELSE IS IT IMPORTANT THAT CON EDISON PROVIDE ACCURATE BUILDING USAGE DATA?

A. In addition to facilitating building owner compliance with local laws, benchmarking is a fundamental step to let owners and prospective buyers understand the energy and emissions performance of a building.

Q. WHY IS THIS EXPANDED DATA AVAILABILITY IMPORTANT?

A. There are concerns about the administrative burdens that could be placed on owners of buildings less than 10,000 square feet of reporting energy data. Although large and medium sized buildings tend to have building management and reporting capacity, and there is precedent from other cities to expand benchmarking requirements for smaller buildings. Owners of buildings of less than 10,000 square feet may lack the time, expertise, and capacity to comply with some benchmarking requirements.

Energy usage data will be valuable for MOCEJ in helping to achieve the City's sustainability goals. For example, building level datasets are often the first step on a path of broader policies aimed at increasing energy efficiency in buildings and reducing building emissions. MOCEJ would aim to identify and proactively

support under-resourced buildings by overlaying building level data with social equity indicators. This data will help MOCEJ identify more granular goals for small buildings, such as partial electrification or energy efficiency goals.

Energy usage data also gives the City the ability to target outreach to neighborhoods in which there are small buildings with high energy usage and GHG emissions, including programming such as NYC Accelerator, Homefix, Public Solar, and Clean Energy Hubs. This targeted outreach would save time for property owners searching for programs to help them audit, retrofit, or electrify their buildings.

Q. DO YOU HAVE ANY OTHER COMMENTS REGARDING CUSTOMER ACCESS TO ENERGY USAGE DATA?

A. Yes. Customers should be able to rely on the data Con Edison collects from them about their energy usage. The Commission should be concerned that Con Edison is not able to provide accurate and timely customer energy usage data. There have been numerous Commission proceedings dealing with data access, and we believe the Commission fully recognizes the importance of utility data for multiple purposes, particularly to aid customers in using energy more efficiently or participating in grid flexibility programs. The City's Billing Panel will address some of these issues in more detail.

ENERGY INSECURITY AND THE NEED FOR MORE AFFORDABLE ENERGY BILLS

Q. DOES THE PANEL HAVE ANY COMMENT ON THE IMPACT OF THE PROPOSED RATE INCREASES ON CUSTOMERS?

A. Yes. In the 2019 rate cases and in other proceedings before the Commission, the City presented its analysis of the energy cost burdens experienced by New York City residents. That analysis revealed that almost 500,000 New York City households have energy cost burdens in excess of six percent of their annual incomes.

Since the COVID pandemic, the situation has become worse for many families. Residents in Disadvantaged Communities have been disproportionately impacted not only by health problems associated with the pandemic, but also from post-pandemic unpredictable and inflationary economic conditions, job losses in households, and cuts to public benefit programs. While the City's economic activity and employment rates are surpassing pre-pandemic levels, inflation, skyrocketing housing costs, and escalating child and health care costs mean the City's economy continues to leave many households behind.

Q. WHAT IS ENERGY INSECURITY?

A. Connected to energy cost burden, energy insecurity is defined as the inability to meet household energy needs, and it manifests across multiple economic, physical, and coping dimensions that affect health. DOHMH, in collaboration with academic

experts at Columbia University's Mailman School of Public Health, has been studying the burden of energy insecurity and its intersections with public health in New York City.

Q. WHAT HAVE THESE STUDIES REVEALED REGARDING THE IMPACTS OF ENERGY INSECURITY?

A. In 2022, the NYC Health Department conducted a survey that found: (1) more than 1 in 4 New Yorkers (28%) were living with energy insecurity; (2) energy insecurity was associated with worse health, including respiratory, heart, and mental health conditions; (3) energy insecurity was more common among people and households who use an electric medical device; (4) there were deep inequities in who was affected, and the experience of energy insecurity was more common among Black and Latino/a residents compared to White non-Latino/a residents, people in households with children compared to those with no children, recent immigrants compared to those living in the United States for longer, and renters compared to owners.

Q. WHAT ELSE HAVE THE STUDIES REVEALED?

A. Reducing energy use to cope with high energy bills can be dangerous. Among New York City residents, (1) 14% used air conditioning half the time, less than half the time, or never when it was hot; (2) without air conditioning, it can be hotter indoors compared to outdoors, and heat exposure can lead to many adverse health effects, including exacerbation of kidney, heart, respiratory, and mental health conditions;

(3) 7% did not use heat in cold weather because of the costs associated with running heating equipment; (4) cold weather can lead to many adverse health effects, including exacerbation of asthma and other respiratory conditions, as well as cardiovascular conditions; (5) 21% coped with being too cold at home by using a stove or oven for heat; and (6) using gas stoves for heat can lead to carbon monoxide poisoning.

Q. DOES ENERGY INSECURITY EVENLY OCCUR THROUGHOUT NEIGHBORHOODS?

A. No. Energy insecurity occurs inequitably across neighborhoods and is more prevalent in high-heat vulnerability neighborhoods compared to low-heat vulnerability neighborhoods, as well as in formerly red-lined neighborhoods. The City's Heat Vulnerability Index shows neighborhoods whose residents are more at risk for dying during and immediately following extreme heat, developed using a statistical model to summarize the most important factors of neighborhood heat risk. Those factors are surface temperature, green space, home air conditioning, and income. Residents of high-heat vulnerability neighborhoods are at the greatest risk of heat-related mortality, and these communities consist of mostly low-income households, are home to a high proportion of Black New Yorkers, and have a lower percentage of households with air conditioning.

The high and inequitable levels of energy insecurity in New York City demonstrate the need to address the systemic issue of unaffordable energy.

Intensifying temperatures from climate change are increasing energy needs, and many New York City residents are already struggling to pay their bills. Therefore, the City and State must prioritize energy affordability. The threat and effects of energy insecurity to people will only continue to worsen if left unaddressed.

Q. WHAT DOES THAT MEAN IN THE CONTEXT OF THESE RATE CASES?

A. It means that utility service is inequitably unaffordable for an increasing number of New York City residents, and the very substantial rate increases sought by Con Edison likely will further increase the number of energy cost-burdened households. It also means that the Commission needs to carefully examine the totality of the bill impacts that customers will experience when deciding what constitutes just and reasonable rates.

Q. PLEASE EXPLAIN.

A. Con Edison provided estimates of the magnitude of the rate increases on both a delivery and total bill basis. However, as we previously discussed, the information provided does not convey the full picture of the total bill impacts customers would realize.

The bill impacts provided by the Company do not include shareholder incentives, reconciliations, or other types of surcharges. According to a recent report filed by the Company on its energy efficiency-related shareholder incentives, the Company claimed to have earned $66 million in 2023. While some of those

incentives arise from achieved savings, others are direct payments from customers and contribute to bill increases. As an example of a new reconciliation and surcharge, the Company is seeking full protection from increases in inflation and federally mandated tariffs.

As we noted previously, Con Edison and the other New York utilities are seeking socialized cost recovery of billions of dollars of new infrastructure. Separately, the New York Independent System Operator, Inc., or NYISO, is conducting a solicitation for another major infrastructure project that could cost billions more.

Thus, the bill increases that customers will bear will be higher – perhaps significantly higher – than the levels stated by Con Edison. For customers who are just under the six percent of income target established by the Commission in defining energy cost burdens, the total increases very well could put those customers over the six percent level. In real terms, high energy cost burdens cause customers to be forced to choose among paying their utility bills, rent, food, medicine, medical care, and other living expenses.

Q. WHY IS THIS A CONCERN FOR THE COMMISSION?

A. The Public Service Law requires utility rates to be just and reasonable. We question whether annual rate increases of 20 percent can be considered just and reasonable. Moreover, Section 7(3) of the CLCPA requires the Commission to consider the impacts of its decisions on Disadvantaged Communities and ensure that they are

not disproportionately burdened. In this matter, all customers will be burdened by the rate increases. However, to the extent the rate increases cause members residents in Disadvantaged Communities to become energy cost burdened, they arguably will be disproportionately burdened. We submit that it is not appropriate to look at the impacts of individual projects in isolation in conducting the Section 7(3) analysis. Rather, the Commission must look at the totality of customers' bill impacts. We believe that a broad application of Section 7(3) is more consistent with its legislative intent.

Q. IS CON EDISON TAKING ANY STEPS TO ADDRESS ENERGY INSECURITY AND ENERGY COST BURDEN CONCERNS?

A. Certainly the magnitude of the requested increases in its revenue requirements does not help and exacerbates the concerns. But, the Company has proposed an Affordable Multifamily Electrification Pilot, or Multifamily Pilot, which would provide bill credits to residents to address incremental electricity bill increases, often referred to as cost shifts, related to heating electrification to non-regulated affordable multifamily buildings with five or more units.

Q. DID YOU REVIEW THE DETAILS OF THE COMPANY'S PROPOSED PILOT?

A. Yes. We reviewed the Customer Energy Solutions Panel's pre-filed direct testimony on pages 19 through 25, Exhibit__(CES-6), and the Company's responses to New York City Information Requests 144 and 147 through 156; Public

Utility Law Project Information Request 31, New York Power Authority Information Requests 1, 2, 3, and 4, and Staff Information Request 261.

Q. IS THERE ANYTHING UNIQUE ABOUT ELECTRIFICATION OF MULTIFAMILY BUILDINGS?

A. Historically, multifamily buildings of five or more units have used a centralized fossil fueled heating system with a single meter. The cost for centralized heating is included as part of rent or through a common charge. When in-unit heat pumps are installed, the heating cost shifts to individual residents' electric bills without a corresponding decrease to rent or common charges. The result can be a net increase in housing costs. That is, the resident's rent stays the same but now the resident must also pay an incremental charge for increased electricity usage. The cost shift issue will be more prevalent in Con Edison's service territory due to the number of multifamily buildings in New York City.

Q. DO ANY MULTIFAMILY ELECTRIFICATION PROGRAMS CURRENTLY EXIST?

A. Yes. However, programs that consider cost shifting are focused on regulated multifamily housing. For example, the New York City Department of Housing Preservation and Development's, or HPD's, REDi Program offers incentives to electrify heating and hot water in regulated affordable housing. Cost shifting is not typically allowed; instead the costs of heating are borne by the building owner. Where cost shifting is allowed, projects must restructure rents and use HPD's heat

pump utility allowances to ensure that cost shifting results in reduced rents.

Con Edison's Affordable Multifamily Energy Efficiency Program – Electrification, or AMEEP-E, addresses the electrification cost shift for subsidized and regulated affordable housing buildings with five or more units. The Clean Heat Program supports electrification of multifamily buildings, but it does not provide a benefit for offsetting incremental electric costs associated with the operation of the heat pumps. Lastly, the Commission recently approved the statewide Energy Affordability Guarantee Pilot for participants in the NYSERDA EmPower+ program. That Pilot provides an electrification offset payment to affordable housing participants who fully electrify their heating so that they are guaranteed to save on their electric bills. However, the Energy Affordability Guarantee Pilot is limited to residential buildings with one to four units and is subscribed primarily by Upstate customers.

Q. WHAT IS THE DIFFERENCE BETWEEN THE EXISTING PROGRAMS AND THE COMPANY'S PROPOSED PILOT?

A. According to the Company, the Pilot would expand eligibility for the Company's AMEEP-E to 400 EAP-eligible residents in non-regulated affordable housing and low-income cooperative buildings and provide an electrification offset payment that other programs do not provide.

Q. HOW WOULD THE COMPANY FUND THE PILOT?

A. The Company has proposed to defer recovery of the program costs until its next rate case.

Q. WHAT IS YOUR RECOMMENDATION REGARDING THE COMPANY'S PROPOSED AFFORDABLE MULTIFAMILY PILOT?

A. We are supportive of the Multifamily Pilot as a means to encourage decarbonized heating options for vulnerable New York City residents while not increasing their energy cost burdens. However, we have concerns with the length of the Pilot and the potential cost impacts to customers following the conclusion of the Pilot. The incremental electricity offset credit should be available for a guaranteed duration once the heat pumps are installed, as is done in the case of HPD's REDi projects, where rents are reduced by the full amount of the utility allowance for the full regulatory term.

Q. DOES THE CITY HAVE ANY OTHER PROPOSALS THAT ADDRESS ENERGY AFFORDABILITY?

A. Yes. The City is aware that Con Edison owns a number of properties that are not utilized for utility purposes or are under-utilized and could be put to much better uses. The City urges the Commission to require Con Edison to perform a property divestment assessment to identify property that is not needed for future utility purposes or under-utilized and which can be sold without impacting service to customers. Disposing of such property will achieve several of the Commission's goals. Doing so will reduce the Company's capital assets and the associated costs

and liabilities, it would generate revenue that would reduce future rate increases, and it would return properties to publicly beneficial use, such as open space, housing, or economic development and job creation. New York is a City of Yes, looking at every opportunity to help catalyze good housing to address the housing crisis, foster economic development, and make our neighborhoods more livable. Among other initiatives, the City has taken a hard look at its own property to identify opportunities for development. We see this as a win-win for the Commission, Con Edison, City, and customers, and we would welcome the opportunity to collaborate with Con Edison in this effort.

LIMITATIONS ON SERVICE TERMINATIONS

Q. DOES THE PANEL HAVE ANY OTHER RECOMMENDATIONS ON HOW TO ADDRESS CONCERNS WITH ENERGY INSECURITY?

A. Yes. As we just discussed, many customers, and not just low-income customers, are concerned about using electricity and gas to meet their basic needs out of a fear that they won't be able to afford their utility bills. This is true even during periods of very hot or very cold weather, when it is critical for customers' health and well-being to use their utility services for heating or cooling, as applicable. To help overcome this fear, we believe the protections against service terminations need to be strengthened.

Q. IS THE PANEL AWARE THAT CON EDISON ALREADY IS SUBJECT TO CERTAIN RESTRICTIONS AND LIMITATIONS ON TERMINATING CUSTOMERS?

A. Yes. We are aware of provisions of the Commission's regulations that impose certain requirements and restrictions on a utility's ability to terminate elderly, blind, disabled customers, customers with medical emergencies, and customers who rely on life support systems.

Q. IS CON EDISON SUBJECT TO ANY WEATHER-RELATED PROTECTIONS?

A. Yes. The rate plan approved by the Commission in Cases 22-E-0064 and 22-G-0065 required Con Edison to implement certain cold weather protections during the period from November 1 to April 15 and to suspend disconnections for non-payment by residential customers during certain heat events.

Q. ARE THESE PROVISIONS SUFFICIENT TO REASONABLY PROTECT CUSTOMERS?

A. They are a good start, but no, they are not sufficient.

Q. PLEASE EXPLAIN WHY NOT.

A. New York State's Home Energy Fair Practices Act, or HEFPA, prohibits the Company from disconnecting utility service of a residential customer from November 1 to April 15 if doing so could, in the utility's judgment, impair the customer's health or safety. However, HEFPA does not include any measures

which generally prohibit disconnections during the same time period based solely on temperature thresholds, and it does not contain any guidance as to how the utility should determine whether a customer's health or safety would be impaired. This lack of specificity introduces risk that customers could experience health and safety impairments because Con Edison (and other utilities) did not consider all salient factors and reached an incorrect judgment. Similarly, there are very limited protections in place against disconnections during hot weather, conditions that also can adversely impact public health. For example, in New York City, there are over 500 deaths attributable to hot weather on average every year.

Q. TO THE PANEL'S KNOWLEDGE, ARE THE NEW YORK REQUIREMENTS DIFFERENT THAN THOSE IN OTHER STATES?

A. Yes. A growing number of states now prohibit utilities from terminating residential customers during periods of very hot or very cold weather. By enacting such protections, other states have eliminated the need for utilities to make health-related decisions that they are ill-equipped to make. These states have added clarity for customers and utilities alike as to when customer terminations may and may not be used.

Q. IS THE PANEL AWARE OF MEASURES THAT THE COMMISSION IS TAKING TO ADDRESS THE DANGERS OF CUSTOMER TERMINATIONS DURING PERIODS OF HOT WEATHER?

A. Yes. The Commission commenced Case 24-M-0586 to examine procedures and

programs regarding customer protections during extreme heat events statewide across all major New York electric utilities and major private water utilities. The purpose of the proceeding is to establish a comprehensive statewide policy regarding extreme heat customer protections for electric and larger water utilities. The City has been an active participant in that proceeding.

Q. IS THE PANEL ADVANCING ANY RECOMMENDATIONS HERE FOR MODIFICATIONS TO CON EDISON'S DISCONNECTION PRACTICES DURING HEAT EVENTS?

A. No, we are not. The City will submit proposals for greater customer protections related to heat events in Case 24-M-0586.

Q. IS THE PANEL ADVANCING ANY RECOMMENDATIONS HERE FOR MODIFICATIONS TO CON EDISON'S DISCONNECTION PRACTICES DURING THE COLD WEATHER PERIOD?

A. Yes. Since additional cold weather protections are not being considered in Case 24-M-0586, we propose some enhancements to the existing protections.

Q. WHAT ARE THE DANGERS OF LIVING WITHOUT HEAT AND/OR POWER IN COLD WEATHER?

A. Exposure to cold temperatures can cause death and serious illness. Each winter season from 2005 to 2018 in New York City, there were an average of about 15 cold stress deaths, as well as 240 hospital admissions, and 180 treat-and-release emergency department visits for cold-related illness. By winter season, we mean

October through April. The data shows that 25% of people who died were 60 years old or older and had no heat within their homes. As a result, they were exposed to dangerously cold temperatures inside their homes.

Q. ARE THERE OTHER FACTORS THAT SHOULD BE CONSIDERED?

A. Yes. The cold-related deaths and illnesses represent a small fraction of the total burden of cold-related health impacts. Cold exposure can exacerbate existing health conditions, including asthma, other respiratory conditions, and cardiovascular conditions, sometimes resulting in emergency room visits, hospitalizations, or death. Living in homes without proper heating may force a household to provide alternative heat with kerosene heaters, electric space heaters, or gas stoves, which create risks of carbon monoxide poisoning and/or fires, both of which can lead to loss of life. A tragic example of this occurred on January 9, 2022, in the Bronx, when use of an alternative heating device led to an apartment fire that killed 17 residents.

Similarly, a lack of power can cause residents to rely on candles for lighting. Improper placement, inattention, or accidents can cause burns or fires which can lead to injuries or deaths. For example, a candle used for lighting following a utility disconnection in the Bronx in 2013 sparked a fire and caused the deaths of three young children.

The loss of power for medical equipment and refrigeration, which may include refrigeration for critical medicine, can pose food and health risks. Inability

to charge phones could hinder a resident's ability to receive emergency weather alerts or call for help in an emergency. Studies show that living without adequate heat or power can impact mental health, with increased symptoms of anxiety or depression.

Q. WHO IS MOST VULNERABLE TO ADVERSE HEALTH IMPACTS DURING COLD WEATHER?

A. People who are most at risk of cold weather health impacts include those with certain underlying medical conditions, including cardiovascular or respiratory diseases, and people who have mental health conditions, developmental disabilities, physical disabilities, or trouble leaving the home. Older adults, infants, and young children are more susceptible to adverse impacts from cold weather.

Q. ARE THERE ANY STUDIES WHICH SUPPORT THESE ASSERTIONS?

A. Yes. Scientific studies support all of the assertions we are making. Particular to this issue, a national study of disconnections found that households with children were more likely to have a disconnection than households without children, putting them at greater risk of exposure to the health risks we just described.

Q. PLEASE CONTINUE WITH YOUR DISCUSSION OF VULNERABLE PERSONS.

A. People using electric medical equipment are also particularly at risk when they lack power. In New York City, a survey conducted by DOHMH revealed that approximately 40% of people using electric medical equipment are not signed up

for utility outage notification programs, indicating that there may be a relatively large group unknown to the Company who would have to be identified during the disconnection process. The prevalence of people that have reported using electric medical equipment in New York City is highest in the Bronx and in neighborhoods with a higher percentage of people living below the poverty line, suggesting that disconnections during dangerous weather conditions have health and equity implications.

Q. HOW CAN NEW YORK CITY RESIDENTS BE BETTER PROTECTED DURING COLD WEATHER?

A. Heating and electricity are necessary to maintain health and safety during cold weather. The Company is supposed to follow protocols to prevent disconnections if a resident would suffer a serious impairment to health or safety, and we understand that Con Edison does so, but the process is complicated. Moreover, as we noted, many customers do not report their conditions or circumstances to the Con Edison, so the Company is not aware of the special needs of many of its customers. As a result, many residents who are vulnerable to temperature-related health effects and who are subject to HEFPA protections do not receive them.

In addition, customers with limited resources present significant health and safety risks for all members of households, regardless of age or underlying health conditions. While people across U.S. regions receive disconnection notices at the same rate, households in the Northeast are the most likely of all US regions to

actually experience utility disconnections. The data indicates that areas like New York City may be lacking in sufficient disconnection protections.

Q. WHAT ARE THE CURRENT AND FUTURE POTENTIAL IMPACTS OF ELECTRIC DISCONNECTIONS DURING COLD WEATHER PERIODS?

A. Heating and electricity are necessary to maintain health and safety during cold weather. Electricity is required to operate heating equipment such as heat pumps; also, modern gas-fueled heating systems require electricity to run. As the City and its partners, including Con Edison, continue to make progress with building electrification, more homes will depend on higher electric loads for winter heat. Access to power will be increasingly important to maintain for at-risk residents during cold weather.

DOHMH has examined data on cold temperature and natural-cause mortality, such as death from conditions like heart and respiratory disease, finding that the relationship between minimum temperature and natural-cause mortality is linear. This means that there is a risk of death throughout the winter season, indicating that protecting people on days above the current wind- and temperature-based levels of 32 degrees Fahrenheit would be beneficial. This relationship is shown on the figures included as Exhibit __(NYCPP-3).

Q. WHAT DOES THE PANEL RECOMMEND?

A. The Company should establish a disconnection ban for residential customers when temperatures are at or below 40 degrees Fahrenheit. For customers participating in

the EAP or who live in regulated affordable housing, the disconnection ban should apply when temperatures are at or below 50 degrees Fahrenheit. Inasmuch as weather-related impacts may be felt more by vulnerable people, such as lower income individuals and families, and having a lower household income is associated with worse health status, the higher temperature is justified for these customers.

These are reasonable thresholds that balance the Company's desire to conduct service terminations with the requirement to protect health and safety for New York City residents. These thresholds are lower than the World Health Organization guidance, which established a general minimum safe indoor temperature of 64.4 degrees Fahrenheit and suggests that a higher minimum temperature may be necessary for vulnerable groups like seniors, children, and people with chronic illnesses, especially cardiovascular disease. They also are lower than the level specified in New York City heating laws, which require that heating be provided if the outside temperature falls below 55 degrees Fahrenheit during the day. In addition, they are more conservative than current practice in other states, such as Georgia, Maine, Massachusetts, and Wisconsin, which all have date-based moratoriums on residential service terminations throughout the cold season.

Q. APPROXIMATELY HOW MANY DAYS PER YEAR ARE AT OR BELOW THIS TEMPERATURE LEVEL IN NEW YORK CITY?

A. Based on data from the Central Park National Weather Service weather station in

New York City, there were 118.5 days on average each year during the heating season, which the City defines as October 1 through May 31 in its housing regulations, when the temperature was at or below 40 degrees Fahrenheit. This is equivalent to about 49 percent of the days in the heating season.

Q. WHO SHOULD BE COVERED BY THESE TEMPERATURE-BASED PROTECTIONS?

A. Given the relatively large population at risk from a serious impairment to health and safety because of loss of utility service, they should apply to all residential customers.

Q. DO YOU HAVE ANY ADDITIONAL RECOMMENDATIONS?

A. Yes. When contacting a customer to inform them of an impending disconnection, the Company, if it does not already do so, should determine whether the customer participates in the EAP. If the customer does not, the Company should provide the customer with information about eligibility for and how to join the EAP and also contact information for the Human Resources Administration or Department of Social Services in Westchester County. The Company also should ask the customer whether the customer believes they would qualify for public assistance. If the customer says yes or maybe or is not certain, a grace period of at least one billing cycle should be provided to give the customer an opportunity to seek public assistance. If the customer says no, then there would not be any grace period.

NEW METHOD TO IDENTIFY POTENTIAL EAP PARTICIPANTS AND ARREARAGES MANAGEMENT PLAN

Q. CON EDISON HAS PROPOSED NEW METHODS TO TRY TO ENSURE THAT ELIGIBLE CUSTOMERS RECEIVE BILL PAYMENT ASSISTANCE. AREN'T THESE METHODS ALSO A MEANS OF ADDRESSING ENERGY INSECURITY FOR SOME CUSTOMERS?

A. Providing bill payment support certainly is a means of addressing energy insecurity. We believe that Con Edison has a very robust EAP in place to do so. While we appreciate the Company's attempt to improve on efforts to enroll all eligible customers, we have concerns with the Company's proposed method to do so. It is also not enough. Many customers rely not only on EAP, but other utility grant programs. We are concerned that programs outside the control of Con Edison will be terminated, which will exacerbate energy insecurity concerns.

Q. WHAT IS THE COMPANY'S PROPOSED NEW METHOD OF IDENTIFYING ELIGIBLE CUSTOMERS.

A. Con Edison is proposing to use the Opower Affordability Suite, or OAS. OAS is an artificial intelligence-powered program that combines utility data, including customer data, with third-party data to predict, engage with, and encourage potentially eligible customers to apply for Con Edison's EAP.

Q. DOES THE CITY SUPPORT ADDITIONAL CUSTOMER OUTREACH TO BROADEN PARTICIPATION IN THE COMPANY'S EAP?

A. Yes. The City is supportive of outreach and providing program information in multiple languages, partnering with community-based organizations, and customizing outreach and communications materials to reach the targeted audience in a meaningful manner. For example, the Customer Operations Panel's pre-filed direct testimony and Con Edison's 2024-2025 Outreach and Education Plan describe the recent implementation of a translation widget for all email campaigns. According to Con Edison, the widget allows customers to translate emails from Con Edison into multiple languages. Based on our understanding, in addition to outreach regarding the EAP, the widget can also help to expand customer participation in programs that could otherwise significantly help them save money and improve their energy usage, like energy efficiency and other affordability programs. Additionally, the City recommends that the Commission direct Con Edison to enhance its partnerships with community-based organizations to improve its outreach to Disadvantaged Communities through mailings, informational meetings, and other strategies developed via consultation with such organizations.

Q. PLEASE PROVIDE YOUR UNDERSTANDING OF HOW THE OAS PLATFORM WOULD WORK.

A. According to the Company's response to New York City Information Request 212, the Company intends to use OAS to identify customers who may be eligible for the EAP but who are not program participants. The Company further explained that OAS would merge U.S. Census income data with customer data to identify

potential EAP participants. Once identified, the Company would email these customers and encourage them to learn more about the EAP and the public assistance programs that establish eligibility for the EAP.

Q. WHICH CUSTOMERS WILL BE INCLUDED IN THE OAS DATABASE?

A. According to the Company's response to New York City Information Request 226, all residential customers would be included in the OAS database.

Q. WHAT CUSTOMER DATA WILL BE PROVIDED?

A. According to the Company's response to New York City Information Request 224(b), Con Edison would provide customer names, account numbers, addresses, service type, home type, usage information, rates, bill amounts, and whether the customers are enrolled in the EAP.

Q. WHAT IS THE COMPANY'S JUSTIFICATION FOR THIS NEW OUTREACH PLATFORM?

A. The Company claims that this platform will help identify customers who are eligible for and could benefit from participation in the EAP, but who are not captured by the data matching performed by the New York City Human Resources Administration, or HRA, and Westchester County Department of Social Services.

Q. WHAT IS THE CITY'S POSITION?

A. While we are supportive of creative ways to broaden outreach to increase enrollment in EAP, the City has concerns with the proposal and potential unintended consequences from using OAS. Instead, Con Edison should work

directly with state and local government agencies, and other entities which provide services to the same population, to identify and enroll eligible customers.

Further, we do not believe there are enough safeguards in place, and it is possible that OAS could result in invasive impacts to customer privacy rights. The ramifications of providing OAS with private information can be extensive, if inadvertent, and result not only in invasions of privacy and harassment to customers, but unforeseen expense to Con Edison and compromise customers' digital identities. Any instance where a customer's personal identity information is aggregated by a company creates a digital footprint which poses a risk of compromise. In this instance, OAS would be creating a digital footprint with personally identifying information in addition to the necessary aggregations by Con Edison for core business purposes. Moreover, if a customer is identified by OAS and is not in fact eligible for EAP, this could result in customer confusion and frustration.

We also are concerned that HRA could be inundated by applications for assistance from individuals and households who are not eligible for public assistance and were misidentified by OAS simply because they live in certain areas of New York City. Finally, our understanding is that census data, which is aggregated, may not be sufficiently granular for this purpose and could misidentify large numbers of individuals and households.

Q. PLEASE EXPLAIN YOUR CONCERNS FURTHER.

A. In response to PULP Information Request 21(b), the Company stated that it did not prepare any analysis to support the purported benefits for this proposal for customers. In response to PULP Information Request 21(a), the Company stated that it has not performed any studies to estimate the number of customers who might be identified through OAS as eligible for the EAP but who are not enrolled through either the data matching process or self-certification.

In response to New York City Information Request 334, Con Edison cited to the experience of a non-New York utility which used OAS for the same purpose. However, it does not appear that that utility had a similar data matching and auto-enrollment program as Con Edison, and no information was provided regarding the robustness of that utility's EAP versus Con Edison's EAP. Without knowing the factual setting, the experience of the other utility provides little value in evaluating whether OAS would provide measurable benefits to Con Edison customers, or whether the benefits would exceed the problems and confusion caused by misidentifying customers as eligible. Con Edison also did not provide any information with respect to the program's accuracy in identifying eligible customers within the other utility's service territory, the baseline conditions the purported increase was measured against, and whether the increases in enrollments were statistically significant.

Q. WHAT IS YOUR RECOMMENDATION?

A. The Company needs to conduct further due diligence on its proposed use of OAS

as a means of identifying eligible EAP participants, including impacts to customer privacy and potential for erroneous identification of eligibility, before such proposal should be implemented. The Commission also should require Con Edison to demonstrate that the factors used by OAS are reasonably indicative of their eligibility for EAP participation. At present, and based on the information provided by Con Edison, it does not appear that Con Edison conducted reasonable due diligence regarding the value of this platform in its service territory. At the very least, the Commission should require Con Edison to develop safeguards and parameters for the use of this platform and how the data developed by OAS will be assessed prior to engagement with customers. Once this information is developed and presented, it should be subject to comment before being further considered by the Commission. Only after this development and vetting process is complete, and providing the platform is found to be beneficial and the safeguard and parameters reasonable and appropriate should Con Edison be allowed to proceed with its use. Rather that proceeding with OAS, the City would prefer that Con Edison explore ways to work with state and local agencies and other organizations to identify and enroll eligible customers, and to employ methods that do not rely on assumptions about customers' financial status.

Q. WHAT ARE THE CITY'S CONCERNS WITH HEAVILY EMAIL-BASED OUTREACH TO VULNERABLE CUSTOMERS?

A. Internet access is not universally available within New York City, especially within

communities that presumably would be targeted by this platform. Disparities in internet access would create a digital divide, making it more difficult for residents without internet to access online resources, and limiting the effectiveness of this form of outreach in reaching vulnerable customers. We have reviewed reports on broadband access in New York City, including a December 2024 report released by the State Comptroller. That report found that, in 2023, 5.7 percent of households citywide had no internet access and 14.8 percent of households accessed the internet using mobile data only. The highest rates were in the Bronx and Brooklyn, where the percentage of households without access to the internet was 7.1 percent and 7.2 percent, respectively. Additionally, of the 18 census-defined neighborhoods with the highest share of households below the federal poverty threshold, 13 contained the highest share of households without broadband access. Moreover, 10 of the neighborhoods had the highest share of households with mobile data as the sole means of internet access.

We also reviewed the Environmental Justice NYC Report issued by MOCEJ in April 2024. That report reveals that in Environmental Justice areas, 24 percent of households do not have access to the internet, either at home or via mobile phones. In non-Environmental Justice areas, 13 percent of households do not have access to internet.

Q. WHY IS THIS A CONCERN?

A. As a result of the "digital divide," vulnerable customers with little to no internet

access have more difficulty with accessing resources that are increasingly online. Since Con Edison proposes that the OAS platform will be primarily email-based, we are concerned that it will not reach its intended audience.

Q. WHAT SHOULD THE COMMISSION DO?

A. The Commission should direct Con Edison to consider and report back on other avenues to reach these customers.

Q. DOES THE PANEL HAVE ANY COMMENTS ON THE COMPANY'S PROPOSAL FOR MANAGING ITS GROWING ARREARS BALANCE?

A. Yes. We have reviewed the Company's testimony and discovery responses related to this issue. It is our understanding that the Company is proposing a new uncollectible expense reconciliation to accommodate the Company's $1.4 billion in arrears. Con Edison's proposal for a reconciliation allows customers to pay, and the Company to recover, the actual level of uncollectible expense incurred each Rate Year rather than the amount in the forecast.

Q. HOW MUCH DOES THE COMPANY SEEK TO RECOVER VIA THE PROPOSED RECONCILIATION MECHANISM?

A. We do not have an exact number, but based on the current standing of the Company's arrears balance, the amount could be significant.

Q. DO YOU BELIEVE THE COMPANY'S PROPOSAL FAIRLY BALANCES CUSTOMER AND SHAREHOLDER INTERESTS?

A. In our view, it does not. The Company appears to want full protection for its

shareholders from any economic effects from the pandemic or other economic drivers that have contributed to the high arrears balance. Looking forward, current economic uncertainties and instabilities are readily apparent, and we are seeing disconcerting efforts to roll back the social safety net across a broad set of programs. These factors, combined with increasing rates and utility bills, makes future increases in arrearages foreseeable. Concrete action to reduce the arrearages balance is needed now, and simply providing full protection to Con Edison's shareholders is not a reasonable step in addressing the issue and reducing the balance, nor is it one that will provide any benefit to customers. Thus, the Company's proposal is in no way fair to customers and does not represent a reasonable balance between customer and shareholder interests.

Q. WHY IS THIS PROPOSAL NOT REASONABLE?

A. Con Edison's shareholders receive a return on their investments in the Company, and the return is based, in part, on the level of risk they bear. If shareholders bear no risk, the return should be set very low. Shareholders do bear some risks, and their return is set accordingly. Uncollectible expense is one of the risks the Company and its shareholders bear, and they are compensated for this risk in their return. The Company needs to manage its risks, but this proposal would essentially eliminate its motivation to do so.

Q. DO YOU HAVE ANY FURTHER COMMENTS ON THIS MATTER?

A. Yes, as part of managing its risk, the Company should be proactively working with

its customers, such as by setting up deferred payment agreements. The City understands that the Company currently engages in this practice; however, the proposal could obviate the motivation for the Company to be proactive in dealing with its customers as shareholders would be compensated in any event. Denying the proposed surcharge, or even reducing the amount shareholders would be permitted to recover via the surcharge, should incentivize the Company to take steps to help customers reduce their arrearages and minimize concomitant uncollectible expenses.

Q. WHAT DO YOU RECOMMEND?

A. Our preference is that the Commission deny the proposal in its entirety. If the Commission determines that shareholders should receive some relief, the Commission should limit the amount they can recover in any year to a level that does not increase monthly utility bills by more than one percent.

NEED FOR FAIRNESS AND BALANCED CONSIDERATION OF CUSTOMER AND SHAREHOLDER INTERESTS

Q. COUPLED WITH THE PRINCIPLE OF AFFORDABILITY, HOW SHOULD THE COMMISSION BALANCE THE INTERESTS OF CUSTOMERS AND SHAREHOLDERS?

A. We are advised by Counsel that the Commission is legally required to consider both ratepayer and shareholder interests in setting rates. We offer a perspective to assist the Commission in performing this balancing.

Con Edison is seeking an electric revenue requirement increase of approximately $1.6 billion, and a base electric revenue requirement for 2026 of about $10.6 billion. The Company is seeking a gas revenue requirement increase of approximately $349 million, and possibly more, and a base gas revenue requirement for 2026 of approximately $2.8 billion. These requests, and the Company's projected rate increases for 2027 and 2028, are based, in part, on planned total capital investments of about $21 billion, or about $7 billion per year. While the planned gas capital investments appear to be relatively similar to previous levels, the electric capital investments are substantially higher than previous levels. Based on assessments conducted by the City's experts, it appears that Con Edison applied no scrutiny to its proposals and instead has proposed every capital project its employees and consultants could conceive. The Commission should exercise the restraint that Con Edison apparently chose to disregard. That is, the Commission must consider the impacts of Con Edison's massive spending proposal on customers and recognize that all projects cannot be undertaken simultaneously. There needs to be some prioritization of projects that appears to be lacking in Con Edison's proposals.

Q. DOES THE PANEL AGREE OR DISAGREE WITH THE MERITS OF THE PROPOSED PROJECTS?

A. The City's technical experts advise us that many of the projects included in the Company's capital plans could be considered legitimate utility projects. However,

given federal actions since January, there is no longer any urgent need for some of the projects and they should be deferred. For others, Con Edison has proposed programs that appear to be duplicative. Some projects, as proposed, should be wholly reconsidered. We also question whether the Company has the ability and the internal resources to properly manage such a large spending plan and ensure that all expenditures are prudent, proper practices are in place to prevent and avoid waste and abuse, and duplication of efforts is avoided.

There is a need to balance the Company's proposals for the electric and gas system with the impacts of those proposals on customers. Customers and utility rates should not be considered an unlimited source of funding for Con Edison. The Company did not appear to exercise restraint in determining the scope and magnitude of its rate case requests, and its rate filing does not appear to exhibit consideration as to how these impacts could negatively affect its customers. The Commission must carefully review and evaluate the Company's proposals, and it must make adjustments to the requests to ensure that the rates charged to customers are fair and reasonable.

Q. CAN YOU PROVIDE AN EXAMPLE OF A PROJECT THAT SHOULD BE WHOLLY RECONSIDERED?

A. Yes. Con Edison is proposing to relocate the control centers for electric, gas, and steam businesses to a remote location in Westchester County. While we understand that the Company has security and space concerns with its existing control centers,

the answer is not to move them outside of its service territory or remote locations that may not be accessible during emergency situations. Moreover, most of Con Edison's business is in New York City, and Con Edison should maintain its control centers where its business is, as it has done for many decades. As discussed in more details by the City's technical experts, there are many concerns with the Company's extremely expensive relocation proposals. The Commission should reject these proposals and direct the Company to develop new plans.

Q. THE PANEL MENTIONED FEDERAL ACTIONS THAT HAVE AFFECTED THE NEED FOR THE CAPITAL INVESTMENTS PROPOSED BY CON EDISON. PLEASE EXPAND ON THIS COMMENT.

A. There are several projects proposed by Con Edison to accommodate the interconnection of offshore wind generation into New York City. In recent months, the federal government has taken actions which have halted work on almost all offshore wind projects. Given these actions, there is no need to make capital investments in 2026 or 2027 to accommodate offshore wind projects.

To be clear, the City remains fully supportive of offshore wind as a carbon-free generation resource for New York City and is dedicated to supporting interconnection of offshore wind in New York City. However, it now appears that the development of most of this set of resources will be delayed. There is no good reason to make investments now, in infrastructure that will remain unused until additional offshore wind development resumes.

Q. IF THESE PROJECTS ARE DEFERRED, ISN'T THERE A CONCERN THAT THE INFRASTRUCTURE WILL NOT BE AVAILABLE WHEN NEEDED?

A. We do not believe so. There is only one project in construction now. All other projects are in early development and siting/permitting stages**.** Once offshore wind development resumes, Con Edison should have a similar amount of time as the amount of time it projected in its rate case filing for its proposed capital projects to undertake and complete the infrastructure projects needed to interconnect it into the New York City power grid.

Q. WHAT DO YOU RECOMMEND?

A. We recommend reassessing when Con Edison interconnections would need to be operational under various, realistic scenarios relating to the Federal government's current policy. We believe the reassessment will demonstrate that the potential in-service dates for the projects are now at least several years later than previously assumed, and Con Edison will be able to pause or delay associated capital investments for at least Rate Year 1, and likely Rate Years 2 and 3 as well. Indeed, the capital investments can be delayed until such time that the Federal government's policies are modified and development of offshore wind is able to proceed. Reducing capital spending will allow Con Edison to focus its investments on its core business functions of safe, reliable, and adequate service, and doing so should help to make customer bills affordable.

Furthermore, in a one-year rate case, the Commission ordinarily sets rates with few items subject to reconciliation. With respect to the capital expenditures in this rate case, unless the total amounts are substantially reduced, the Commission should require that the amounts allowed to be recovered in rates be subject to downward-only reconciliation in the event the Company does not, or cannot, complete all of the projects it identified. Otherwise, the Company's shareholders would be unfairly enriched.

Q. ARE THERE ANY ACTIONS CON EDISON COULD TAKE AT THIS TIME RELATED TO OFFSHORE WIND?

A. Yes. Con Edison should continue its planning and design work and in limited cases pursue permits and approvals for projects so that it is prepared to proceed with permitting and construction when offshore wind development resumes.

Q. ARE THERE OTHER COMPANY PROPOSALS THAT DO NOT EXHIBIT BALANCE?

A. Yes. The City is very concerned about the magnitude of the Company's request for additional employees.

Q. WHAT HAS CON EDISON PROPOSED.

A. While the Company's request for incremental full-time equivalents, or FTEs, was scattered throughout its thousands of pages of testimony, the Company's response to New York Energy Consumers Council, Inc. Information Request 28 stated that in the aggregate, Con Edison is requesting an increase of 2,780 FTEs over its

current 13,801 FTEs. This is an approximately 20% increase in staffing for Con Edison from October 1, 2024 through the end of 2028. The Company's most significant requests for incremental FTEs are in Customer Operations at 956 FTEs, or a 62% increase over current staffing levels, and Information Technology, or IT, with an additional 220 FTEs, or a 39.2% increase over current staffing levels.

Q. DID THE COMPANY'S UPDATED FILING INCLUDE ANY CHANGES?

A. Yes. The Company decreased the FTEs for Customer Operations to 754 and increased FTEs for IT to 246.

Q. DOES THE UPDATED FILING RAISE ANY SPECIFIC CONCERNS REGARDING CON EDISON'S ABILITY TO STAFF THE SUBSTANTIAL IT PROJECTS PROPOSED IN THE RATE FILING?

A. Yes. Based on the modifications to the timing of IT FTEs in the updated filing, we are concerned Con Edison is already struggling with hiring and onboarding IT FTEs. We also note that the testimony of the Company's IT Panel asserts Con Edison has had trouble hiring and maintaining current IT staffing levels. For example, in Exhibit__(IT-4-Upd) pages 27 through 31, the Company proposes a $4.477 million project to create an "IT Talent Transformation Team" because the Company does not have the resources needed to "proactively monitor and manage IT staffing levels." The white paper acknowledges that the Company has experienced "persistent unfilled positions in critical roles within IT."

Q. WHAT DO YOU RECOMMEND?

A. Con Edison's request for nearly three thousand incremental FTEs is incredible and unprecedented. Separate and apart from the compensation and benefit costs for all of these new employees, recruiting and onboarding them are very labor-intensive propositions, and many of the positions may require significant training before the employees can effectively perform their duties. Given that the Company's testimony and exhibits concede that the Company already is struggling to attract talent, fill positions, and onboard new hires, we question whether it will be possible to fill all of these positions. Additionally, the Company has not presented a compelling justification for such an accelerated or large increase to its workforce. Finally, seeking such an increase is not consistent with controlling costs and maintaining affordable electric and gas costs.

The Commission should adjust the Company's revenue requirement to the minimum levels of new hires the Commission deems necessary for Con Edison to maintain safe, reliable, and adequate service. Because of the potential that Con Edison will not be able to fill all of its open positions plus these incremental positions, the Commission should require that the amounts allowed to be recovered in rates for incremental hires be subject to downward-only reconciliation in the event the Company does not fill the positions. As with our recommendation regarding capital investments, it would be unjust and unreasonable to allow Con Edison's shareholders to profit by including a substantial number of new hires in its revenue requirement and then not filling the positions.

THE COMPANY'S SUBSTANTIAL SHAREHOLDER INCENTIVES ARE NOT MATCHED BY SIMILAR LEVELS OF CUSTOMER BENEFITS AND ARE CONTRARY TO AFFORDABLE ENERGY RATES

Q. WHAT IS YOUR POSITION ON WHETHER CON EDISON SHOULD BE PERMITTED TO RECEIVE SHAREHOLDER INCENTIVES FOR ITS PERFORMANCE IN PROVIDING ELECTRIC AND GAS SERVICE?

A. The City recognizes that sometimes rewards are needed to induce certain behavior. In the case of utilities, shareholder incentives – both positive and negative – have been used for many years to discourage poor performance and encourage the utilities to do tasks they otherwise may not do. At the same time, the Commission has very broad power to order the utilities to take certain actions or refrain from taking other actions. Violations of provisions of the Public Service Law, the Commission's regulations, and/or Commission Orders can result in monetary penalties of hundreds of thousands to millions of dollars. Accordingly, there is no reason to provide shareholder incentives to Con Edison related to any action that the Commission requires the Company to do or not to undertake, and for which the Company would be liable for penalties for failure to comply.

Further, in its recent Orders in the Energy Efficiency proceedings, Cases 18-M-0084 and 25-M-0249, the Commission decided that shareholder incentives for energy efficiency and building electrification achievements are no longer appropriate. Indeed, achieving greenhouse gas emissions reductions, decarbonization, and electrification are now matters of law in New York. For these

reasons, all of the earnings adjustment mechanisms related to energy efficiency and building and transportation electrification should be terminated as of January 1, 2026.

Where the Company may take discretionary actions that are outside the scope of the Public Service Law, CLCPA, and compliance with Commission Orders, the use of shareholder incentives may be appropriate. In such cases, though, the incentives should only reward superior performance, not business-as-usual conduct. Even in such cases, care is needed to ensure that targets are properly set.

Q. WHAT IS THE CITY'S POSITION ON SHAREHOLDER INCENTIVES FOR GAS SAFETY-RELATED ACTIVITIES?

A. One of Con Edison's core statutory requirements is the provision of safe service. As discussed by City witness John Sano, Con Edison has consistently focused on gas safety, as shown by its performance on several gas safety metrics. We see no reason to reward the Company's shareholders for maintaining this level of performance, but we also want to prevent the Company from backsliding. We believe the existing suite of negative revenue adjustments, as modified by Mr. Sano's proposals, will ensure that the Company continues to focus on gas safety.

Q. WHAT IS THE COMPANY'S PROPOSAL FOR EARNINGS ADJUSTMENT MECHANISMS, OR EAMS, IN THIS RATE CASE?

A. EAMs are simply another name for shareholder incentives, and we will use both

terms interchangeably. The Company is proposing nine EAMs beginning January 1, 2026. If the Company achieved maximum targets in each EAM category the Company would earn 68 electric-only basis points.

Q. WHAT IS THE DOLLAR VALUE OF THE COMPANY'S PROPOSAL?

A. According to the Company's response to New York City Information Request 334, as of the updated filing on April 10, 2025, the value of an electric basis point for the 2026 Rate Year would be $2.29 million. Accordingly, achievement of 68 basis points would be worth at least $115.7 million. The amounts would be higher in 2027 and 2028.

Q. PUTTING ASIDE THE COMMISSION'S RECENT ORDER ON SUCH INCENTIVES, DO YOU BELIEVE THE COMPANY'S REQUEST IS REASONABLE?

A. No. Incentives in excess of $100 million, or even approaching $100 million, cannot be considered reasonable, especially since these amounts are incremental to the returns on equity included in the Company's revenue requirements. Given the Commission's Order, there is no reason to consider this matter further.

Q. IS THE COMPANY PROPOSING NEW SHAREHOLDER INCENTIVES IN THIS RATE FILING?

A. Yes. The Company is proposing a new Bus Emissions incentive.

Q. PLEASE EXPLAIN YOUR UNDERSTANDING OF THE OBJECTIVE OF THIS BUS EMISSIONS INCENTIVE.

A. According to the Company's Clean Energy Solutions Panel's testimony and responses to New York City Information Requests 15 and 206, this new shareholder incentive would incentivize the Company to accelerate adoption of electric buses in its service territory. Our understanding is that the incentive is intended to reduce greenhouse gas emissions associated with the use of buses in Con Edison's service territory.

Q. DO YOU BELIEVE THE COMPANY'S NEW PROPOSAL FAIRLY BALANCES CUSTOMER AND SHAREHOLDER INTERESTS?

A. No. The Company's proposal rewards its shareholders for actions taken by other entities and could be earned even if the Company does absolutely nothing to encourage such entities to purchase more electric buses. Indeed, since Con Edison is not proposing to subsidize the purchase of electric buses, and we are not suggesting that it do so, it is not clear to us what actions Con Edison could take that would be worthy of the proposed shareholder incentive. This new shareholder incentive is unjustified and should be rejected.

Q. DOES THE CITY SUPPORT TRANSPORTATION ELECTRIFICATION?

A. Yes. The City strongly supports electrification of transportation, and particularly the need to place more emphasis on the electrification of medium- and heavy-duty vehicles, fleets, and buses.

Q. DOES THE COMPANY HAVE OTHER PROGRAMS THAT SUPPORT TRANSPORTATION ELECTRIFICATION?

A. Yes. Separate from this rate filing, the Company's EV program portfolio includes EV infrastructure and managed charging programs funded through Cases 18-E-0138 and 22-E-0064. The PowerReady Light-Duty, Medium- and Heavy-Duty Pilot and Micromobility programs offer incentives to offset the cost of energizing EV chargers. The SmartCharge New York, SmartCharge Commercial, and SmartCharge Tech program for EV charging station operators offer incentives for eligible participants to charge EVs during off peak hours.

Q. IS THE COMPANY ELIGIBLE FOR SHAREHOLDER INCENTIVES THROUGH THE MAKE READY PROGRAM?

A. Yes. The EV Make Ready shareholder incentive is intended to encourage the Company to meet Level 2 and Direct Current Fast Charger program targets at lower-than-baseline costs.

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS OR CONCERNS ABOUT MAINTAINING THE COMPANY'S CURRENT OUTCOME BASED SHAREHOLDER INCENTIVES?

A. Yes. The existing incentives provide significant rewards to shareholders regardless of the level of the Company's performance. Additionally, the information presented in Con Edison's Updated 2023 EAM Report suggests that the Company's targets have been set too low, resulting in easily attained shareholder incentives. Pursuant to the Commission's recent Order, these incentives should be terminated. Doing so will resolve our concerns. In the event these incentives are not terminated

for that reason, they should be terminated in the interests of affordability and because they do not serve any meritorious purpose. There is no good reason to reward Con Edison's shareholders for actions taken by others. If the Commission decides that the incentives should remain, the thresholds for receiving the incentives should be substantially increased.

Q. PLEASE EXPLAIN YOUR UNDERSTANDING OF THE OBJECTIVE OF THE DISTRIBUTED ENERGY RESOURCE, OR DER, STORAGE UTILIZATION SHAREHOLDER INCENTIVE.

A. This shareholder incentive was designed to incentivize the Company to take action to interconnect more distributed energy resources on its system.

Q. WHAT ARE YOUR CONCERNS REGARDING THIS INCENTIVE?

A. The proposed targets for 2023 and 2024 were too low, and the basis points awarded too high. In this rate filing, the Company proposes updated targets by fitting an exponential growth curve to achieve the 2024 Storage Order that directed 35% of retail storage procurements downstate. The Company's proposed baseline is set at 65% of the 2024 Storage Order's downstate retail goal, with proposed minimum, midpoint and maximum targets at 70%, 80% and 100% of policy goals.

Q. PLEASE ELABORATE.

A. According to the Revised 2023 EAM Report, the Company interconnected 21.82 MW of battery storage, exceeding the 14.74 MW maximum target by over 7 MW, earning $12.3 million in incentives. Of the 140 projects supported, six comprised

20.7 MW. The fact that it exceeded annual targets by almost 150% suggests that the annual targets were too low. The Company has not yet released its 2024 EAM Report, but its response to Staff Information Request 452 states that in 2024, the Company installed 32.2 MW, exceeding the 23.21 MW maximum target by over 9 MW, earning $13.133 million in incentives. In the context of the peak load in Con Edison's service territory, these are insignificant achievements and will do very little, if anything, to help preserve system reliability. In our view, such minimal achievements are not worth more than $25 million.

Additionally, now that the Commission has issued its Energy Storage Roadmap and approved NYSERDA's retail and residential energy storage implementation plan. There is likely to be a significant increase in the deployment of storage over the next few years. We do not think Con Edison's shareholders should be rewarded because of the actions of the Commission, NYSERDA, and storage developers.

Q. DOES THE CITY HAVE ANY RECOMMENDATIONS REGARDING THE DER STORAGE SHAREHOLDER INCENTIVE?

A. Yes. This shareholder incentive should be abandoned. If the Commission determines that it would be appropriate to continue a shareholder incentive related to the development of storage at and under five MW, it should redesign the incentive to be based on demonstrated actions by Con Edison to increase the deployment of storage resources above the levels contemplated in NYSERDA's

implementation plan. There is no reason to reward Con Edison's shareholders for storage facilities developed because of the incentives approved by the Commission and awarded pursuant to NYSERDA's retail and residential storage implementation plan. Further, modifications to the Standardized Interconnection Requirements, and the NYISO's DER Aggregation rules that went into effect in April 2024, as well as expanded participation opportunities for energy storage in the NYISO and Con Edison demand response programs are likely to encourage the development of energy storage, and there is no good reason to reward Con Edison's shareholders for any of these inducements or the resultant storage development.

Additionally, the City has taken action to increase the zoning districts within which storage can be built as of right and to enhance and streamline the City's energy storage permitting processes implemented by the New York City Fire Department and DOB. These actions, along with the solicitations to be conducted by NYSERDA in the near future, should result in robust development of energy storage projects. Unlike other utility infrastructure projects, storage facilities can be permitted and constructed relatively quickly. Achievement of the State's and City's energy storage policies and goals, and the actual development of storage resources, will occur only if Con Edison can efficiently and expeditiously interconnect storage, and its shareholders should be rewarded only for exceptional performance in doing so.

Q. ARE THERE OTHER SHAREHOLDER INCENTIVES THE COMPANY PROPOSED MAINTAINING THAT YOU WOULD LIKE TO DISCUSS?

A. Yes. To the extent the Commission considers retaining any shareholder incentives in this proceeding, the City has recommendations regarding four of them. The City recommends discontinuing the Light-Duty EV EAM and Residential Managed Charging EAM. The City also explains its support for the Demand Reduction EAM, and we propose a new Electrification Interconnection EAM in lieu of the Transportation Interconnection EAM currently in place.

Q. PLEASE EXPLAIN YOUR UNDERSTANDING OF THE OBJECTIVE OF THE LIGHT-DUTY EV EAM.

A. According to the Company's Clean Energy Solutions Panel pre-filed direct testimony at page 79, lines 7 through 13, this incentive is intended to encourage the Company to facilitate and accelerate the adoption of light-duty EVs.

Q. WHAT ARE YOUR CONCERNS REGARDING THIS SHAREHOLDER INCENTIVE?

A. The City is concerned that Con Edison can earn the incentive while making limited efforts because the incentive does not actually measure the utility's actions. According to the Updated 2023 EAM Report, Con Edison earned $12.3 million in shareholder incentives for customer adoption of light-duty EVs. As described in that report and responses to New York City Information Requests 182 and 203, the Company's efforts during 2023 and 2024 to support EV adoption were the same

activities the Company took to achieve metrics tied to separate shareholder incentives available through the EV Make-Ready proceeding, Residential Managed Charging EAM, and Transportation Interconnection EAM.

Q. WHY IS THIS A CONCERN?

A. Con Edison's inability to identify any efforts during 2023 that are distinguishable from administering existing programs and/or earning other shareholder incentives demonstrates a minimal level of performance. Moreover, the Company's reference to the same activities for multiple incentives suggests that it is receiving multiple incentives for the same efforts. It was never the intention of this construct to provide multiple rewards for the same actions.

Q. DO YOU HAVE OTHER CONCERNS WITH THIS SHAREHOLDER INCENTIVE?

A. Yes. There is growing interest in light-duty EVs, and offerings in the marketplace have greatly expanded over time to meet consumer demand. As the market matures, there is no customer benefit to be gained by providing incentives to Con Edison's shareholders for increasing numbers of EV sales. Coupled with the fact that Con Edison has done very little to encourage or induce EV sales, this shareholder incentive can no longer be considered just or appropriate. Indeed, the $12.3 million paid to shareholders for this incentive can be better deployed to directly benefit customers, such as by providing rate relief.

Q. WHAT IS YOUR RECOMMENDATION FOR THE LIGHT-DUTY EV EAM?

A. The Commission should discontinue this shareholder incentive. The Commission has already directed development and administration of multiple ratepayer-funded programs to support substantial EV adoption and buildout of charging infrastructure. Particularly in the absence of demonstrable efforts by Con Edison, there is no reasonable basis to continue imposing the additional costs for this incentive on customers.

Q. PLEASE EXPLAIN YOUR UNDERSTANDING OF THE RESIDENTIAL MANAGED CHARGING EAM.

A. The Residential Managed Charging EAM is intended to incentivize the Company to increase customer enrollment in its residential managed charging program, SmartCharge New York, and encourage enrolled customers to charge their EVs outside peak system hours from June through September. The expected benefit to customers was avoided infrastructure investments by decreasing coincident demand for EV charging during summer peak demand hours.

Q. HAS THE COMPANY'S RESIDENTIAL MANAGED CHARGING PROGRAM BEEN SUCCESSFUL THUS FAR?

A. According to Con Edison's Managed Charging Implementation Plan, filed on January 30, 2025 in Case 18-E-0138, at the end of 2024 EVs represented 2.5% of the light duty vehicles in Con Edison's service territory. In 2024, enrollment in the

SmartCharge New York program was 23,540 EVs, only 25.9%, of the light-duty EVs registered in Con Edison's service territory. Consequently, approximately 0.65% of total light-duty vehicles in Con Edison's service territory are enrolled in Con Edison's SmartCharge New York program.

In New York City Information Request 200, the City asked about the level of on-peak charging by light-duty EVs not enrolled in the SmartCharge New York program. Con Edison responded that it does not collect such data. Therefore, it is not possible to know whether the program is effective. Inasmuch as EV manufacturers now install programs in EVs that delay charging to off-peak hours even if the vehicles are plugged in during other hours, it is questionable whether this program is worth its cost, plus the cost of the associated shareholder incentives.

Q. DO YOU HAVE ANY OTHER OBSERVATIONS REGARDING THIS PROGRAM?

A. Yes. As we noted previously, one of the goals of the managed charging program was to avoid infrastructure investments. In this rate case, Con Edison is proposing the highest level of infrastructure investments it has ever sought. One of the drivers cited by Company witnesses of the need for these massive investments is electrification. Since the managed charging program has not achieved its intended purpose, and the need for infrastructure has actually increased, it does not make sense to continue burdening customers with the costs of this program or the associated shareholder incentives.

Q. WHAT IS THE CITY'S RECOMMENDATION FOR RESIDENTIAL MANAGED CHARGING EAM?

A. Absent evidence that the program is effective, and given the very low number of vehicles enrolled in the program and the Company's substantial capital budget request, the Commission should consider different, less costly methods to induce EV owners to charge their vehicles during off-peak periods. As a first step, the Commission should discontinue the Residential Managed Charging EAM. A shareholder incentive for managed charging should be considered only if Con Edison is able to demonstrate both the effectiveness of its managed charging program, that its actions lead to high levels of program participation and off-peak charging, and that its program results in identifiable avoidance of infrastructure investments.

Q. WHAT IS THE CITY'S POSITION ON DEMAND RESPONSE PROGRAMS?

A. The City is a strong supporter of demand response and has consistently advocated in other Commission proceedings and in other forums for increased emphasis on their use. In fact, we believe the City is one of the largest participants in Con Edison's demand response programs, and it also participates in the NYISO's demand response programs.

Materially reducing peak demand will avoid the need for some infrastructure investments and for dispatching the most expensive generation

resources. These resources tend to be very inefficient and have high levels of harmful air emissions. Therefore, reducing peak demand has both economic and public health benefits.

Q. PLEASE EXPLAIN YOUR UNDERSTANDING OF THE COMPANY'S DEMAND RESPONSE EAM.

A. The Company's Demand Response EAM incentivizes the Company to increase customer participation and performance across the Company's demand response programs and the NYISO Special Case Resources program.

Q. HAVE CON EDISON'S DEMAND RESPONSE PROGRAMS BEEN SUCCESSFUL THUS FAR?

A. We believe the Company's efforts during the current rate term have yielded benefits to customers through its efforts to optimize and expand demand response program offerings. Some examples of Con Edison's activities and areas for further improvement are described in the Commission's recent Order Addressing Dynamic Load Management Programs, issued April 25, 2025 in Case 14-E-0423. These programs and the Company's actions should continue, and the Company should strive to further increase enrollment in the programs.

Q. DOES THE CITY HAVE ANY OTHER RECOMMENDATIONS REGARDING SHAREHOLDER INCENTIVES?

A. Yes. The City recommends eliminating the current Transportation Interconnection EAM and replacing it with a new Electrification Interconnection EAM. We will

discuss later that there is a significant need for the Company to make improvements to its interconnection process, and the issues apply equally to transportation and building electrification projects. Accordingly, the City proposes a new shareholder incentive structured to reward Con Edison for making material improvements to the timing of interconnecting electrification projects. The incentive should motivate Con Edison to expedite issuance of its design approvals, provide transparency and clarity as to the costs involved with the interconnections and the requirements imposed on developers, and accelerate completion of the interconnection work.

Q. PLEASE EXPLAIN YOUR UNDERSTANDING OF THE COMPANY'S TRANSPORTATION INTERCONNECTION EAM.

A. According to the Company's response to New York City Information Request 185, the average time is 1.49 years when a new secondary service must be installed to 5.56 years when new high tension service is needed. These time frames are unacceptably long and significantly hinder the State's and City's electrification goals. The Transportation Interconnection EAM is intended to motivate Con Edison to reduce the average times from application to energization for six categories of transportation electrification projects that are 300 kW or larger.

Q, IS THIS INCENTIVE HAVING THE DESIRED EFFECT?

A. It is too soon to make any definitive conclusions. Based on data provided in this rate case and in the Company's previous rate case, it appears that the time frames

are slightly improved. However, requiring a customer to wait up to 5.5 years for electric service is still far too long.

Q. WHY DO YOU WANT TO ELIMINATE THIS EAM?

A. This EAM only addresses transportation electrification yet the shortcomings with Company's performance apply equally to building electrification. The Company should be subject to a more holistic approach that applies to all electrification projects. Further, now that Local Law 97 is in effect along with the penalties we discussed previously, there is some urgency to Con Edison expeditiously providing adequate electric service to buildings undergoing electrification.

Q. WHAT DO YOU PROPOSE?

A. The Commission should require Con Edison to develop a comprehensive plan to significantly reduce the time frames for interconnecting EV charging facilities and providing adequate electric service to buildings seeking to electrify. Since this is a long-standing issue and the Company has had ample time to evaluate options and identify ways to reduce the time frames, and because of the increasing demand for electrification, the Commission should set a relatively short deadline for submission of this plan, such as 90 days from the date of its Order setting new rates. Once the plan is vetted, including an opportunity for interested parties and the public to submit comments, the Commission should expeditiously consider the plan. As part of its consideration of the plan, the Commission also should adopt a combination metric to induce the Company to make improvements.

Q. WHAT DO YOU MEAN BY A COMBINATION METRIC?

A. The Commission should set minimum thresholds for improvement, such as 10 percent or 15 percent reductions in time frames per year, with negative revenue adjustments for failure to achieve those minimums. The Commission may also consider positive revenue adjustments for superior performance, such as exceeding 30 percent or 40 percent reduction per year. An Electrification Interconnection EAM could provide materials benefits for the public and help the State and City timely achieve their policy goals. And, consistent with Con Edison's constant desire to be a national leader for utility-related matters, it would provide Con Edison an opportunity to lead on grid management by developing smart solutions to satisfy the demands of electrification.

Q. DO YOU HAVE ANY OTHER RECOMMENDATIONS ON THIS PROPOSAL?

A. Yes. The proposed Electrification Interconnection framework should integrate best practices from existing and successful efforts to shorten interconnection time frames for distributed energy resources, EV charging infrastructure, and buildings seeking to electrify. For example, to improve building electrification, Con Edison should engage in more frequent, detailed communication with the New York City Department of Buildings, developers, and building owners, and provide clear guidelines for customer-side electrical work. Moreover, the Company should ensure that its designers and inspectors receive consistent training and adhere to

uniform requirements for electrical systems. The time frames can be reduced when developers and building owners are not required to redesign systems or change their electrical equipment due to varying and inconsistent directives from Company inspectors.

THERE IS A NEED FOR SIGNIFICANT IMPROVEMENT IN CON EDISON'S APPROACH TO PROVIDING OR UPGRADING CAPACITY OF ELECTRIC SERVICE TO CUSTOMERS SEEKING TO ELECTRIFY THEIR BUILDINGS AND VEHICLES

Q. ARE THERE ANY CONCERNS WITH RESPECT TO CON EDISON'S APPROACH TO INTERCONNECTING BUILDING ELECTRIFICATION PROJECTS?

A. Yes. There have been ongoing problems with Con Edison's management of building interconnection requests and requests to upgrade building capacity, including changes to decisions that have already been issued and relied upon for the next phases of development, delays in performing necessary electrical work for the interconnections or upgrades, and other issues that cause delays, setbacks, and increased costs.

Q. WHY IS THE CITY CONCERNED ABOUT THESE PROBLEMS?

A. The City has been committed to reducing its own energy footprint and making City buildings and facilities use energy more efficiently. The City has performed and continues to perform extensive upgrades to its buildings to achieve these goals. Like any building owner and property developer, the City is reliant on Con Edison

for electric service and to perform whatever upgrades may be necessary to electrify City buildings and/or allow for the installation of solar panels and EV chargers. The City has been as affected by the problems we just described as private building owners and developers.

Moreover, the City is committed to sustainability and economic development. There also is an affordable housing crisis in New York City, requiring the construction of hundreds of thousands of new housing units. Con Edison's actions are unnecessarily hindering and delaying the development of new buildings, adversely impacting economic development and perpetuating the affordable housing crisis.

Q. HAS THE CITY MADE CON EDISON AWARE OF THE BUILDING INTERCONNECTION ISSUE?

A. Yes. For example, SCA meets at least quarterly with Con Edison borough directors to discuss the status of its projects. During these meetings, problems that have arisen and ongoing concerns with the interconnection requests are conveyed to the Company.

Q. ARE YOU AWARE OF IMPACTS FOR OTHER CUSTOMERS?

A. Yes. Building owners that are required to meet Local Law 97 mandates are also reliant on Con Edison service upgrades. Many also face both high costs and long delays.

Q. CAN YOU PROVIDE A PARTICULAR EXAMPLE OF A PROBLEM YOU HAVE HAD WITH BUILDING INTERCONNECTIONS?

A. Yes. SCA has had numerous challenges working with Con Edison for interconnection of new schools and building electrification retrofits of existing schools. SCA and Con Edison must work together to schedule and bring power to new schools.

In recent years Con Edison has delayed completing the system upgrades needed to allow new or refurbished schools to receive adequate electric service. This has impacted the ability of SCA to complete its construction projects and, on several occasions, almost resulted in schools not being able to open on time in the fall for students. In general, SCA requires the ability to serve a new or refurbished school's electric load approximately 12 months prior to the end of construction. That has not been consistently occurring.

Q. WHAT DO YOU RECOMMEND?

A. We understand it takes effort and time for Con Edison to perform its work. The City can provide a schedule of school construction two years prior to the planned school opening dates. Prior to this time, Con Edison already would have the load letters for each school project and should already be determining and the undertaking the upgrades needed to provide service to the schools. A similar approach can occur for affordable housing projects.

For existing buildings that require electrical service upgrades, the City can provide load letters at the inception of each project. Doing so should give Con Edison at least 9 to 12 months to approve the electrical service upgrade.

Con Edison's core obligation is to provide adequate service to its customers. The Commission should investigate why Con Edison cannot timely complete its interconnection work and provide adequate service to its customers – including both the City and private building owners and developers – when such service is needed. Particularly for schools and affordable housing, for which construction is critical and time-sensitive, Con Edison needs to improve its performance.

Q. HAS THE CITY HAD ANY OTHER ISSUES WITH CON EDISON'S APPROACH TO BUILDING INTERCONNECTIONS?

A. Yes. Con Edison often changes its determinations as to customer-side electrical work needed, often late in design or even during construction. These changes in system requirements result in additional costs and project delays. Frequently, an initial determination is made by one person, but then changed by an inspector or other Con Edison employee. In addition, when Con Edison rejects requests for new service at a new point of entry and instead provides a determination for reinforcement of the existing service, the City's construction operations are hindered because reinforcement requires the building to be shut down. Occupied buildings, such as schools or affordable housing, cannot be shut down for long periods of time. As a result, the City has to submit a new request and negotiate the

terms of the determination, which causes significant delays in obtaining a final service determination and construction delays. These delays increase costs of projects for the City, which ultimately impacts taxpayers.

Q. WHAT DO YOU RECOMMEND?

A. Con Edison should ensure initial determinations meet customer's needs.

Q. HAVE YOU HAD ANY OTHER ISSUES WITH DETERMINATIONS ON SYSTEM REQUIREMENTS?

A. Yes. Con Edison often takes a very long time, in some instances a year or longer, to provide a determination after a load letter has been submitted by the City.

Q. HOW LONG DO YOU BELIEVE IT SHOULD TAKE TO PROCESS A LOAD LETTER?

A. We believe customers should receive a determination within two months after a load letter is submitted. Based on conversations we have had with Con Edison, we believe this period is aligned with the Company's internal planning schedule.

Q. HAVE YOU HAD ANY ISSUES WITH THE COMPANY'S TIMING REGARDING AVAILABLE CAPACITY TO PROVIDE ELECTRIC SERVICE TO ELECTRIFIED BUILDINGS?

A. Yes. The City has had multiple building retrofit projects that were deep in the design process before the City received notice of issues with interconnecting the load.

Q. WHAT DO YOU RECOMMEND?

A. Before significant design work has begun, Con Edison should collaborate with building owners and developers to review their projects and anticipated loads to help identify whether additional power is available or whether significant, sometimes cost-prohibitive infrastructure upgrades would be needed. Providing this information early in the design process could allow developers and owners to reconsider their project designs to avoid the costly upgrades.

More broadly, Con Edison should implement more frequent, detailed communication with building owners and developers and provide clear guidelines and timelines for service upgrades. This should be paired with clear, public-facing maps and interconnection timelines.

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS REGARDING THE PROVISION OF ELECTRIC SERVICE TO ELECTRIFIED BUILDINGS?

A. Yes. Currently there is no method or designated point person for the City to escalate issues to that arise during critical points of construction.

Q. WHAT DO YOU RECOMMEND?

A. Con Edison should designate a high-level contact for the SCA and other City agencies, someone who has sufficient authority and can help escalate issues at critical points when needed to prevent avoidable delays – most notably for the opening of new schools. This will provide a path to escalate problems that get "stuck" so that they can be addressed before they cascade into a bigger problem. This relationship can also support periodic discussions to mutually provide

feedback to improve processes.

More broadly, we suspect that the issues we have experienced are not unique, and private building owners and developers are experiencing the same or similar problems. Resolving the issues solely for the City is not sufficient. Con Edison needs to put effective procedures in place to provide a means for all building owners and developers to obtain high-level attention and assistance from the Company.

One example would be for the Company to appoint an ombudsman to provide assistance to building owners. The ombudsman must be independent, impartial, and vested with the authority needed to expeditiously resolve problems and direct Company personnel to take or refrain from taking specified actions.

Q. IS INDEPENDENCE AND IMPARTIALITY OF THE OMBUDSMAN A CONCERN?

A. Yes. For interconnection issues with developers of distributed energy resources, Con Edison appointed as the ombudsman the manager of the group responsible for processing the interconnection requests. That individual was not and could not be independent or impartial.

Q. THIS DISCUSSION HAS FOCUSED ON THE ELECTRIFICATION OF BUILDINGS. DOES THE CITY HAVE ANY ISSUES WITH THE ELECTRIFICATION OF VEHICLES?

A. Yes. Several City agencies maintain large fleets of light-duty vehicles, and the City

has been transitioning these fleets to EVs. The City has experienced many challenges in interconnecting EV charging facilities that are critical to the operation of these fleets.

Q. WHAT CHALLENGES HAS THE CITY EXPERIENCED?

A. The predominant challenge is timing of Con Edison's provision of electric service to the charging facilities. The City agencies need the charging facilities operational as they replace gas-fired vehicles with EVs. As Con Edison has acknowledged in its response to New York City Information Request 185, it can take years to interconnect the charging facilities. The delays in obtaining electric service are hindering the City's ability to transition away from fossil fuels.

Q. DO YOU THINK THE CITY'S EXPERIENCE IS UNIQUE?

A. No. We think private fleet owners, and others seeking to install EV charging facilities are experiencing the same delays.

EV CHARGING TARIFF ISSUES

Q. PLEASE DESCRIBE THE CITY'S ACTIONS REGARDING EV CHARGING.

A. The City is evaluating multiple ways to support the adoption of EVs in New York City. One of the biggest concerns that has been raised is the availability of charging stations, as about half of New York City residents do not have garages or other home-based locations which can accommodate charging.

One charging option the City has been evaluating is curbside charging.

These are small-scale units located along streets to which EV owners can plug in and recharge their vehicles while they are parked. We have conducted a pilot project in a very successful partnership with Con Edison to test the technical and economic feasibility and viability of curbside charging. Under this pilot project, DOT authorized use of public rights-of-way and led site selection and community outreach for the curbside chargers, and Con Edison was responsible for site engineering, construction, and procuring a charging company to provide, operate and maintain the chargers. This pilot was approved by the Commission as a demonstration project, and the City appreciates the Commission's and Con Edison's support for the project.

Q. HOW IS THE PILOT PROJECT PROGRESSING?

A. As we plan expanded implementation based on the success of the pilot, we have experienced problems with Con Edison regarding the cost of installing the charging apparatus. Con Edison requires the customer to pay the cost of making the electrical connection between the apparatus and Con Edison's electric system.

Q. WHY IS THIS A PROBLEM?

A. Connecting to Con Edison's system involves trenching from the apparatus' junction box to the nearest available point at which the cable can be connected to a Con Edison distribution cable. This could be several feet, or it could be 50 feet or more. The cost of this utility-side work can be in the thousands or tens of thousands of dollars and could be more if any other upgrades to Con Edison's network are

required. Higher costs per charging station mean fewer stations can be installed. Conversely, if the Commission can help reduce the installation costs, the penetration of charging stations can be increased.

Q. IF THIS IS UTILITY-SIDE WORK, WHY ARE THE COSTS BEING ADDED TO THE COST OF THE CHARGING STATIONS?

A. Con Edison has told us it considers anything and everything located in a public right-of-way to be temporary in nature because the City has the right to require it to be removed at any time. Under General Rule 5.2.7 of the Company's Electric Tariff, customers are responsible to pay in advance the costs of the utility interconnection and removal work for service to non-permanent structures.

Q. DOES THE FACT THAT THE CITY CAN REQUIRE THE REMOVAL OF STRUCTURES WITHIN ITS RIGHTS-OF-WAY MEAN THAT THE CURBSIDE STATIONS SHOULD BE CONSIDERED TEMPORARY?

A. No. A service is temporary if it is for an activity that is temporary such as an event or for a construction site. The possibility that the City could require the removal of a station has nothing to do with whether the curbside stations are temporary or not. If the possibility of removal, or that the City could exercise its right of condemnation, means that a structure should be considered temporary, then all structures on all lands, both public and private, should be considered temporary, which is not a logical outcome.

Q. HOW WOULD CON EDISON'S OWN FACILITIES BE CLASSIFIED UNDER THE COMPANY'S INTERPRETATION?

A. Most of Con Edison's infrastructure is located within public rights-of-way pursuant to franchises and/or revocable consents granted by the City. However, the franchise rights are not absolute, and revocable consents are just that, revocable. Thus, the City could, at any time, require Con Edison to remove its facilities. In fact, the City does so whenever it reconstructs a street pursuant to provisions of the New York City Administrative Code. Accordingly, under Con Edison's interpretation, all of its facilities located in the public rights-of-way should be considered temporary.

Q. TO YOUR KNOWLEDGE, ARE CON EDISON'S FACILITIES CONSIDERED TEMPORARY?

A. They are not – not by the City or the State, and to our knowledge, we do not believe Con Edison considers its facilities to be temporary.

Q. PLEASE EXPLAIN WHY THEY ARE NOT CONSIDERED TEMPORARY.

A. There are several reasons. First, Con Edison did not install its facilities with any intent that they would be in place temporarily, similar to utility facilities installed to serve a construction site while a building is under construction. Second, Con Edison did not and does not install its facilities in a manner that would make them easily removable. Most facilities are installed underground and in a manner that allows them to remain in service for decades despite environmental and manmade conditions around the facilities, such as flooding or nearby excavations.

Third, Con Edison does not remove most of its facilities when they reach the ends of their useful lives. Instead, the facilities are cut and capped and left in place. If the facilities were temporary, they would be removed. Fourth, as a matter of law, specifically Sections 102(12)(e) and 102(12)(f) of the Real Property Tax Law, Con Edison's electrical, gas, and steam equipment, including poles, wires, manholes, service boxes, ducts, mains, pipes, and other similar equipment are defined as real property. Real property is legally defined as immovable or affixed to land; in other words, it is not temporary.

In sum, there is no valid factual or legal basis to Con Edison's position.

Q. WHAT ELSE HAS CON EDISON SAID TO THE CITY REGARDING THIS MATTER?

A. Con Edison has taken very inconsistent positions. On one hand, Company personnel have repeatedly asserted that the Company is fully supportive of EVs and it recognizes the need to expand EV charging infrastructure. At the same time, Company personnel have claimed that they are unable to do anything because of the tariff language. However, they also claimed that the Company is open to working with the City to seek changes to the tariff to address this issue.

Q. WHAT HAS CON EDISON DONE TO WORK WITH THE CITY?

A. Other than making statements, nothing. We are advised by Counsel that Con Edison has the right and ability to seek changes to its Electric Tariff at any time. Con Edison has never exercised that right and made any effort to modify its tariff.

Moreover, although the Company is seeking multiple changes to its Electric and Gas Tariffs in these rate cases, it deliberately chose not to include any of the changes it claimed to the City that it is willing to make.

Q. WHAT RELIEF DO YOU WANT?

A. We would like a declaration from the Commission that Con Edison's interpretation that anything located in a public right-of-way is temporary is incorrect. Aside from such a declaration, we ask that the Commission direct Con Edison's Electric Tariff to be modified to expressly provide that EV and e-mobility charging apparatus, equipment, and facilities are deemed to be permanent regardless of where they are installed.

SUMMARY OF OTHER CITY TESTIMONY

Q. PLEASE PROVIDE A BRIEF OVERVIEW OF THE OTHER TESTIMONY BEING SUBMITTED BY THE CITY.

A. The City is submitting five additional pieces of testimony addressing the following topics:

- Ms. Michele Chait is addressing a series of rate design, cost allocation, and deferral/reconciliation mechanism issues.
- The Billing Panel is addressing continuing problems with Con Edison's billing and the need for improvements to billing processes and procedures.
- The New York City Electric Infrastructure Panel is addressing the Company's proposals for electric, information technology, and shared

services capital and operations and maintenance projects and activities.

- Mr. John P. Sano is addressing the Company's proposals for gas capital and operations and maintenance projects and activities, gas safety metrics, other gas issues, and the Company's proposal to reduce gas service lives for depreciation purposes.
- Ms. Felicia Tunnah is addressing the need for a better approach to restoring electric service to streetlights when problems arise and updating the streetlight registry which allows the New York City Department of Transportation and Con Edison to simultaneously track and identify the hundreds of thousands of streetlights and traffic signal poles in New York City.

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS REGARDING THE COMPANY'S RATE CASE FILING AND REVENUE REQUIREMENT REQUESTS?

A. Overall, the City is very concerned about the magnitude of the Company's requests. While we appreciate that the provision of utility service has become more complicated over time, and Con Edison must address a larger number of competing demands and challenges, the Company has an obligation to prudently manage its business. Based on the City's comprehensive review of the rate case filing, testimony, and discovery, it appears that the Company is trying, in part, to shift that management responsibility onto the Commission to decide which projects and

programs should be undertaken in the rate year and which should not.

We again raise a concern the City raised in the last set of rate cases – we question whether the Company can reasonably and properly undertake all of the projects and programs it has included in its rate filing. The Company is seeking to spend far more in the rate year than it has ever spent in a single year. We question whether the Company is capable and has the appropriate safeguards and monitoring in place to prevent abuses and ensure that all costs are prudently incurred. As discussed previously, the Company is having difficulty retaining and replacing employees, and it apparently needs to add thousands of employees to undertake all of its proposed projects. This information suggests that the Company is not equipped to handle all of the projects.

The Commission should not authorize massive increases in spending levels based on expectations that the funds are appropriately spent, or rely on after-the-fact prudence investigations. The Commission should demonstrate that it is serious about affordability and significantly reduce Con Edison's requested increases.

Q. DO YOU WISH TO ADD ANYTHING ELSE?

A. The Commission should adopt revenue requirements, rates, charges, rules, and processes that are sufficient to provide safe and adequate service, designed to advance and facilitate achievement of the City's and State's companion public policy goals, protect New York City residents – especially low income residents – from excessive energy cost burdens, limit the nature and quantity of positive

shareholder incentives, and build in protections to protect against overearnings resulting from unrealistic spending requests.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.